

**Determinants of Customer Loyalty for Retail Customers of Commercial Banks in Sabah,
Malaysia**

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DECLARATION

ABSTRACT

The study aimed to assess the determinants of customer loyalty for traditional commercial banks in Sabah in the financial sector. The suitable model or theory to guide this research project was the Expectation-Confirmation Model (ECM). the positivist paradigm and deductive approach was adopted for this study. The quantitative method was selected in this study over the qualitative and mixed methods. The design that was selected for this study is the descriptive design. Customers of commercial banks in Sabah formed the overall population of this study. G*Power analysis tool was used to determine the suitable sample size that emerged to be 198 participants. Convenience sampling was used in this study. Data analysis was done using SPSS software which was used to carry out various types of analysis. Descriptive statistics was employed. Correlation analysis was conducted to explore the relationships among various variables. 213 usable questionnaire samples were returned. This represented a response rate of 71.0% which was excellent. Security, Customer Satisfaction, Service Quality, and Trust taken together show a very high linear association with the dependent variable, Customer Loyalty, with a R (Multiple Correlation Coefficient) value of 0.882. There is a statistically significant positive correlation between Customer Loyalty and the independent variables of Customer Satisfaction, Service Quality, Trust, and Security among bank customers. The highest correlation is shown with Trust, which is closely followed by Service Quality, Customer Satisfaction, and Security. It is indicated that in order to enhance Customer Loyalty, banks should prioritize the establishment of trust with their clients, delivering top-notch services, guaranteeing customer happiness, and upholding strong security protocols. Retaining current consumers can be aided by putting an emphasis on customer satisfaction, trust, and safety. The research provides solid evidence for the banking industry to prioritize service quality. Staff training, process streamlining, and digital platform improvements

are all examples of ways in which this can be done. Future research should take into account mixed-methods approaches that combine quantitative data with qualitative data such as interviews. The study concludes that customer satisfaction, trust, security, and the quality of service are crucial factors in determining client loyalty to financial institutions. Satisfied customers are loyal to their respective organizations. When customers' needs are met, they develop loyalty toward the organization.

ABSTRAK

ACKNOWLEDGEMENTS

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CHAPTER ONE: INTRODUCTION

1.0 Preamble

Traditional banks in Malaysia are facing an increasingly competitive operating environment with alternative financial systems and services driven by Fintech developments offering their customers unprecedented variety. Banks are losing customers to these alternatives and they need ways to ensure that their customers remain loyal to them despite the intense competition. This research seeks to help banks in Sabah in this regard by establishing the factors that affect the loyalty of their customers. The purpose of this chapter is to introduce and contextualize the research area and research problem and highlight the relevance of the research study. The chapter details the background information on the banking industry in Malaysia and Sabah, problem statement of challenges to customer loyalty faced by traditional commercial banks in Sabah, objectives of the dissertation, research questions answered in the dissertation, the relevance of the dissertation to the literature and practice of banking, and the conceptual and operational definition of the main terms used in the dissertation.

1.1 Research Background

1.1.1 Industry Background

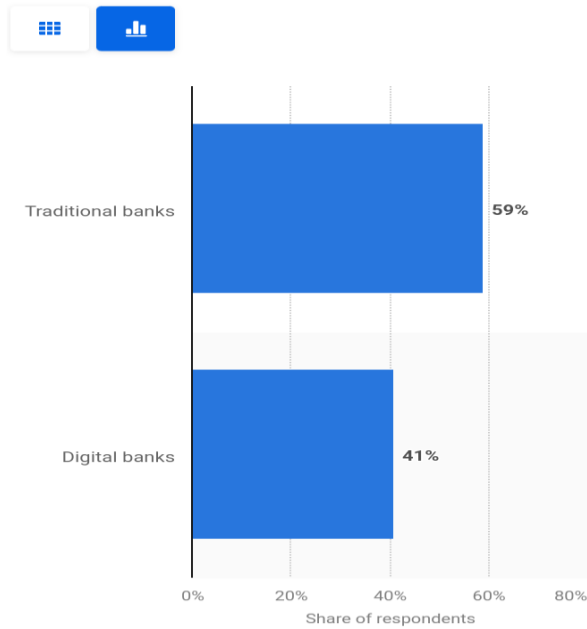
Malaysia's financial sector is expected to keep growing at a very high rate in the coming years in line with the growth of the Malaysian economy and technological advances in financial services provision. According to Wood (2023), the financial sector of Malaysia is expected to grow at a Compound Annual Growth Rate (CAGR) of 51.3% between 2023 and 2029 to reach a valuation of \$8.77 Billion by the end of 2029. The banking industry is expected to play a significant role in this growth. According to Harkati et al. (2020), the financial sector in Malaysia is made up of 27 commercial banks, 11 investment banks, 18 Islamic banks, and various non-bank financial institutions. The 27 commercial banks are traditional banks with physical locations and branches

across the country that have generally dominated the banking industry over the years. 19 of the commercial banks in the country are licensed foreign banks and nearly all the 27 banks have a presence in Sabah state (Harkati et al., 2020). The overall picture for the financial sector in Malaysia is generally good as recovery from the effects of the COVID-19 pandemic and global economic shocks has been good. However, there are notable challenges that banks are facing and are likely to continue facing in the coming years. Advances in financial technology (often abbreviated as Fintech) have been disruptive to the traditional banks over the last two decades as banks have been forced to adapt to innovations that have led to digital banking and mobile banking services (Alwi, 2021; Safiullah & Paramati, 2022).

Fintech advances have increased the power and reach of non-traditional financial services with alternative lending, digital wallets, blockchain, and other developments mean that Malaysians now have unprecedented options in relation to financial services that are provided by traditional banks. These developments are having an effect on traditional banks in Malaysia. A survey conducted by Statista Research Department (2022a) found that 41% of Malaysians (shown in figure 1.1 below) prefer digital banking services compared to traditional banking services in a trend that is expected to grow in the coming years. Purely digital banks which will have less overhead costs have been approved in Malaysia with at least five purely digital banks having been given licenses already (Jailani & Adenan, 2023). These banks are expected to add to the steep competition faced by traditional banks in the country. It is notable that while the financial sector has been growing rapidly over the last few decades, the number of branches for commercial banks per capita have actually been declining. Figure 1.2 shows that the number of commercial bank branches per 100,000 citizens peaked in 2005 and has been on a downward trend since (Statista Research Department, 2022b). It is thus evident that while the financial sector is in rude health,

traditional commercial banks are facing increasingly steep competition and are likely losing customers to alternative financial service providers in the country.

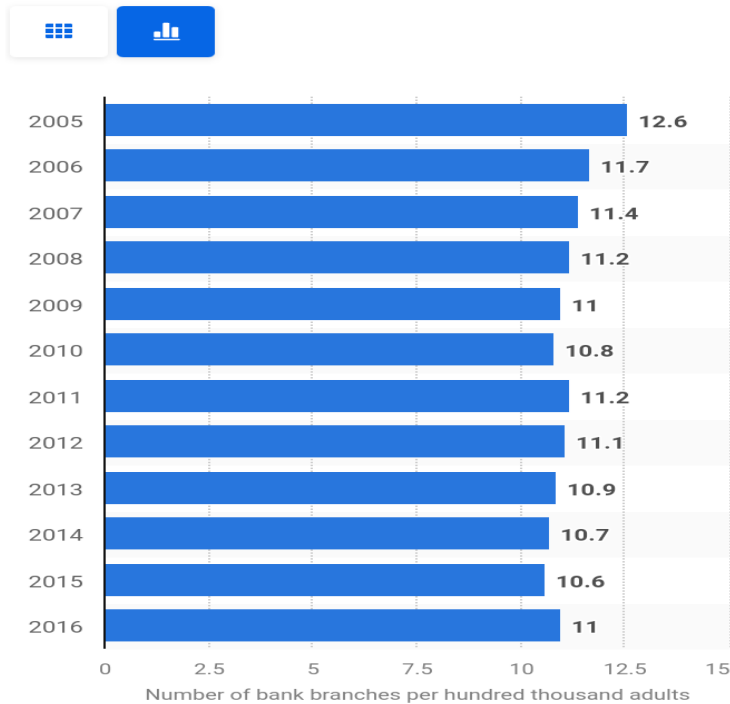
Consumer preference toward digital versus traditional banks in Malaysia in 2021



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***Figure 1.1** Consumer Preference for Digital Banking over Traditional Banking in Malaysia (Statista Research Department, 2022a).*

Number of commercial bank branches per hundred thousand adults in Malaysia from 2005 to 2016



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Figure 1.2: Number of commercial bank branches per 100,000 adult Malaysians between 2005 and 2016 (Statista Research Department, 2022b).

1.2.2 Theory Background

The high competition that traditional banks in Malaysia are facing means that they face the threat of losing customers to alternative financial services providers in the country. They need to raise their competitiveness as well as find ways to ensure that they retain their customers. Enhancing customer loyalty is one of the most important ways that banks can retain customers. Subagiyo et al. (2021) note this fact arguing that customer loyalty is one of the most critical issues for banks as it helps banks to retain their customers even in the face of intense competition. The researchers further note that customer loyalty can result in stable sources of revenues that help

organizations to grow for the long term. Rashid et al. (2020), meanwhile, point out that loyal customers can act as brand ambassadors for the business by recommending the business to friends and colleagues enhancing the reputation of the bank and increasing its customer base. Loyal customers are also more likely to provide the right feedback to help banks grow and adapt to the market. Customer loyalty is thus likely to be very critical to the traditional commercial banks in Malaysia that are trying to overcome the challenges posed by Fintech-driven alternative financial service providers.

However, enhancing customer loyalty often requires careful planning and strategy implementation over time. Evidence in the extant literature shows that there are several factors that banks can focus on to build customer service. Long established research evidence indicates that ensuring that customers are consistently satisfied with services being offered by banks is one of the most effective ways to enhance customer loyalty and enjoy its benefits (Afifah & Kurniawati, 2021; Mainardes et al., 2023; Subagiyo et al., 2021). Periodically assessing customer satisfaction is that essential in helping banks to ensure that they gain loyal customers. The excellence of services offered to customers has also been identified as a critical factor (Afifah & Kurniawati, 2021; Mainardes et al., 2023; Subagiyo et al., 2021). Other notable factors that have emerged as some of the most important are trust and security. Mainardes et al. (2023) argues that a major advantage of traditional banks over emerging Fintech-driven competitors is that they still retain the trust element and they need to ensure that this remains the same to continue building their customer loyalty. The issue of security is also significant since customers are always concerned about the security of their finances. Normalini et al. (2019) note that it has become more significant as due to digital banking and other developments with theft through digital platforms being more likely than physical bank robberies and theft. Additionally, the added issue of data

privacy is also relevant and traditional banks with a long history of security enhancement can gain an upper hand.

1.3 Problem Statement

Nearly all the 27 traditional commercial banks in Malaysia have a presence in Sabah yet there has been rather limited research into the issue of customer loyalty in the region. This lack of empirical evidence is concerning given the fact that the steep competition that these banks are facing also applies to the state as young consumers are increasingly being drawn to alternative financial services (Statista Research Department, 2022a). The traditional commercial banks operating in the state risk losing customers to digital banks or other Fintech-driven financial service providers in the coming years if these banks do not develop strategies to enhance the loyalty of their customers as well as attract new customers. It is thus essential for these banks to have the right information on how to raise their customer loyalty and empirical evidence is the most suitable for this purpose. It will provide them with the relevant information to increase customer loyalty and overcome the competitive pressures that they face.

Meanwhile, factors such as customer satisfaction, service quality, trust, and security have long been recognized as particularly critical to customer loyalty in the banking industry (Afifah & Kurniawati, 2021; Mainardes et al., 2023; Subagiyo et al., 2021). However, changing circumstances and developments over time can make some factors less relevant compared to other factors. Fühner et al. (2021) note that it is important to periodically update the extant literature over time to ensure that it remains relevant to practice. The financial sector in Malaysia has undergone significant changes and disruptions over the last decade due to Fintech and other developments. It is thus important to not assume that these factors automatically remain relevant because they have been relevant in the past as changes in the industry and consumer preference

can affect the extent of their relevance. It is thus important for empirical assessment to be done on these factors to re-establish their relevance for the banking industry in Malaysia in general and for traditional commercial banks operating in Sabah in particular. This research thus re-evaluates whether these factors remain significant and the extent to which they remain significant in shaping customer loyalty. Doing so will both update the literature on the issue and benefit various entities in practice.

1.4 Research Questions

Answering the following questions will facilitate the resolution of the problem identified in this study:

RQ1: Is there a significant link between customer satisfaction and customer loyalty among customers of traditional commercial banks in Sabah?

RQ2: Is there a significant link between service quality and customer loyalty among customers of traditional commercial banks in Sabah?

RQ3: Is there a significant link between trust and customer loyalty among customers of traditional commercial banks in Sabah?

RQ4: Is there a significant link between security and customer loyalty among customers of traditional commercial banks in Sabah?

1.5 Research Objectives

The main aim of this research is to establish the key determinants of customer loyalty for traditional commercial banks in Sabah in light of the significant flux in the financial sector over the last decade. The specific objectives of this research are:

RO1: To assess the link between customer satisfaction and customer loyalty among customers of traditional commercial banks in Sabah.

RO2: To assess the link between service quality and customer loyalty among customers of traditional commercial banks in Sabah.

RO3: To assess the link between trust and customer loyalty among customers of traditional commercial banks in Sabah.

RO4: To assess the link between security and customer loyalty among customers of traditional commercial banks in Sabah.

1.6 Significance of Study

1.6.1 Theoretical Relevance

This research is highly relevant to the theory because it will be filling a gap in the extant literature as well as updating the literature based on recent developments. The gap that this research will be filling is the lack of studies into customer loyalty for commercial banks in Sabah. There is a lack of recent studies on the issue with respect to traditional banks in the area. According to Akella (2022), filling gaps in the existing literature is one of the most relevant reasons to carry out a research study. The study will also be updating the literature on whether factors that have historically been shown to significantly influence the loyalty of customer banks continue to be significant in light of the recent flux in the financial sector. Fühner et al. (2021) note that it is important for research areas to be periodically updated usually within five to ten years to account for changes that occur over time. While factors such as customer satisfaction, service quality, trust, and security have been widely identified as significant in relation to customer loyalty, it is important to consider whether they remain so in light of the major disruptions that banks have faced over the last decade to ensure that the literature is up to date.

The theoretical contributions that this research makes will be primarily beneficial to other researchers and scholars. The researchers will find this study beneficial because the theoretical

arguments and findings of the study can be used in further research on the areas that this study focuses on. For instance, other researchers can use the findings of this research as a basis for undertaking research in other regions in Malaysia or as a basis to argue that the traditional factors remain highly relevant for traditional banks. Additionally, the findings of this study can be used by scholars to advance their knowledge and experience. They can do this by reading the study and grasping its arguments and findings.

1.6.2 Practical Relevance

The practical relevance of this research stems from the benefits that will accrue to various entities. Some of the notable entities that will benefit from the practical contributions of this research are commercial banks in Sabah and other places in Malaysia, customers of commercial banks, and the government of Sabah and federal government of Malaysia. Traditional commercial banks in Malaysia have faced significant turbulence over the last decade from technological advances and regulatory changes that have resulted in Fintech-driven alternative financial service providers and the emerging spectre of purely digital banks in the country. These developments have led to steep competition for traditional commercial banks and they need ways to ensure that they are able to retain their customers. Ensuring that factors such as customer satisfaction, service quality, trust, and security are still important to customer loyalty for these banks will be beneficial to these institutions in their efforts to retain customers. Customers of commercial banks will benefit from having issues such as their satisfaction with banking services, security, and service quality focused on by banks. Finally, the state government of Sabah and the federal government of Malaysia will benefit from the findings from a policy perspective. They will be able to develop policies to support banks from collapsing in the face of steep competition.

1.7 Definition of Terms

1.7.1 Customer Loyalty

Conceptual Definition: Customer loyalty is conceptually defined in this study based on the definition used by Singh (2021) in a related study. The study defined it as a customer's strong commitment to repeatedly buy a given product or service or patron a given establishment despite the actions of competitors.

Operational Definition: Customer loyalty is operationalized in this study based on five questionnaire items adapted from the study by Budhi et al. (2022). The five point Likert agreement scale is used to measure these items in this research study. The scale has scores ranging from 1 (strongly disagree) to 5 (strongly agree).

1.6.2 Customer Satisfaction

Conceptual Definition: The conceptual definition of customer satisfaction in this study is derived from Rosli & Nayan (2020). The authors defined it as the level to which customers are happy and content with a company's products or services.

Operational Definition: Customer satisfaction is operationalized in this study based on five items adapted from the study by Yazid et al. (2020). The five point Likert agreement scale is used to measure these items in this research study. The scale has scores ranging from 1 (strongly disagree) to 5 (strongly agree).

1.7.3 Service Quality

Conceptual Definition: The conceptual definition of service quality in this study is consistent with the definition used by Cahaya & Siswanti (2020). According to the researchers, it refers to a customer's assessment of the superiority of the services they are offered based on their expectations.

Operational Definition: The construct of service quality is operationalized based on 10 items on its five dimensions as done by Guo (2022). The five point Likert agreement scale is used to measure these items in this research study. The scale has scores ranging from 1 (strongly disagree) to 5 (strongly agree).

1.7.4 Trust

Conceptual Definition: The conceptual definition of trust in this research is derived from Mai et al. (2021). The researchers defined trust as a consumer's confidence in the banking organization, its operations, and its ability to effectively benefit the customer in the short and long term.

Operational Definition: Trust is measured in this study using the 11 items used by Kidron (2021) to measure bank trust in a related study. The five point Likert agreement scale is used to measure these items in this research study. The scale has scores ranging from 1 (strongly disagree) to 5 (strongly agree).

1.7.5 Security

Conceptual Definition: The conceptual definition of security in this study is similar to the definition used by Normalini et al. (2019). The authors defined it as consumer's perceptions of the degree of protection against threats to their finances, data, and privacy.

Operational Definition: Security was operationalized based on six questionnaire items adapted from the study by Morgan et al. (2023). The five point Likert agreement scale is used to measure these items in this research study. The scale has scores ranging from 1 (strongly disagree) to 5 (strongly agree).

1.8 Summary of Chapter

The function of this chapter has been to introduce and contextualize the research area and problem that this research dissertation focuses on. Background information on the banking industry in Malaysia and Sabah, problem statement of challenges to customer loyalty faced by traditional commercial banks in Sabah, objectives of the dissertation, research questions answered in the dissertation, and the relevance of the dissertation to the literature and practice of banking have been highlighted in this chapter. This dissertation study ultimately spans five chapters. The composition of the remaining chapters is discussed below.

Second Chapter

This section entails the literature review of the study. The suitable theory is highlighted before the variables of the study are discussed based on their conceptualization in the extant literature. The chapter also highlights the outcomes of related empirical studies to facilitate the development of the hypotheses and conceptual framework of the dissertation project.

Third Chapter

This section entails an analysis of the methodology that was used in the dissertation project. The methodology and design, population and sampling, instrument and instrumentation, data collection and data analysis frameworks and procedures of the study are discussed and justified in this chapter.

Fourth Chapter

This section entails the results of the data analysis performed on the findings of the dissertation project. The demographic profile of the respondents, normality and reliability analysis assessment outcomes, descriptive statistics on the answers to the questionnaire, and inferential statistics (regression and correlation coefficient) analysis findings are covered.

Fifth Chapter

This final chapter entails the discussion of the findings and conclusions of the study. It details the interpretation of the findings of this study in the context of prior research findings, conclusions of the study based on the discussion, and recommendations for practice and future research.

CHAPTER TWO: LITERATURE REVIEW

2.1 Preamble

As noted in the preceding chapter, customer loyalty for traditional banks in both Sabah and Malaysia in general is under threat due to intense competition and a rapidly evolving business landscape for banks. The issue of declining customer loyalty has been particularly emphasized in relation to younger consumers particularly the digitally savvy generations Y and Z which are increasingly becoming financially dominant across the world (Abu Daqar et al., 2021; Windasari et al., 2022). This is a major problem for traditional banks since it is a major threat to the long term viability of the banks and sustainability of the business model under which they operate. It is thus critical for banks to understand ways to improve their customer loyalty in the emerging business landscape. There has been a lack of recent studies and this research thus seeks to cover this gap in the extant literature. It will be highly beneficial to banks in terms of helping them to remain competitive and viable in the long term as Fintech-driven businesses offer intense competition. This is the second chapter of this research project.

The preceding chapter of this project has presented the introduction to the research project. It detailed the industry and research area background, problem statement, objectives of the study, research questions answered by the study, the importance of the study for both theory and practice, and the definitions of key terms that are applicable in this research. This chapter presents the outcomes of the literature review conducted as part of this study. According to Randolph (2018), literature reviews play a critical role in research studies by providing theoretical context, facilitating the identification of gaps in the literature, underpinning the development of hypotheses, and providing definitions for variables and guidance for their effective operationalization. This review will serve all these functions. It begins with a conceptual review for each of the key

concepts (variables) of the study before an analysis of the related empirical research literature is presented. The empirical literature underpins the development of the hypotheses that are tested in this study. The theoretical framework and conceptual framework of the study are also presented towards the end of the chapter.

2.2 Underlying Theory: Expectation-Confirmation Model

The most suitable model or theory to guide this research project is the Expectation-Confirmation Model (ECM). ECM is a theoretical framework used to primarily understand and assess customer satisfaction across various service industries. It posits that customer satisfaction and subsequent outcomes are influenced by the confirmation or disconfirmation of their initial expectations regarding a service (Li et al., 2020). The model helps to explain how individuals form and evaluate their satisfaction with products, services, or experiences, particularly in the context of consumer behaviour. The model was proposed by Oliver (1980) which was a study that was a build-up on Oliver (1977). The author seminally argued that post purchase satisfaction is best understood from an interplay of three critical factors: expectations, perceived performance, and disconfirmation of beliefs. In the original model posited by the author, expectations have a significant impact on both perceived performance and disconfirmation of beliefs which in turn influence satisfaction (Carraher-Wolverton & Hirschheim, 2023). Additionally, disconfirmation of beliefs mediates the effects of expectations and partially mediates the effects of perceived performance on satisfaction. The theory has thus been widely used to assess and explain how satisfaction arises in the post purchase or utilization context.

However, while this research also assesses satisfaction, it is not the primary issue of concern in the study. Customer loyalty is the primary area of focus. ECM is still highly relevant in this context. As Li et al. (2020) note, the model has been applied to other post purchase

developments beyond satisfaction particularly those that are related to satisfaction. Several studies have actually used it to establish how customer loyalty arises in the post purchase context (Njeru et al., 2019; Taujiharrahman & Pangestuti, 2022; Yaqub & Halim, 2018). These studies have tended to highlight that overall satisfaction or satisfaction with various components such as service quality mediate the impact of the model factors on customer loyalty. This seems like the right approach for this study to take. In the assessment of customer satisfaction, service quality, trust, and security in Malaysian banks, the ECM offers a comprehensive framework for understanding the factors that drive customer loyalty. It emphasizes the importance of meeting or exceeding customer expectations in these critical dimensions, which is essential for building and maintaining long-term relationships with customers in the competitive banking industry. Based on the model, it can be argued that overall customer satisfaction has a significant impact on customer loyalty after overall expectations are met or surpassed. It can also be argued that context-specific satisfaction such as satisfaction with security measures and service quality significantly impact customer loyalty. The model is thus the most suitable for this research project.

2.3 Conceptual Review

2.3.1 Customer Loyalty

Customer loyalty towards banks serves as the dependent variable in this research. It is one of the most widely researched concepts in the extant literature. Researchers generally define it as a customer's strong commitment to repeatedly buy a given product or service or patronize a given establishment despite the actions of competitors (Budhi et al., 2022; Singh, 2021). It signifies a customer's willingness to consistently choose and support a specific business rather than switching to competitors. It has been widely researched because of the myriad of benefits it offers to businesses. Moretta et al. (2019) point out that the most consistently identified benefits of customer

loyalty in the extant literature include repeat and consistent repurchase, higher spending compared to one time customers, free and well thought out feedback, and free positive word of mouth marketing. The researchers argue that these benefits majorly arise from the emotional connection that arises between the customer and the brand and it is this connection that brings customers back even when competitors offer superior options. Srivastava & Rai (2018) affirm this and argue that the best form of customer loyalty arises when customers associate products, services, brands, or establishments with the unique positive memories, events, or people. Customer loyalty has been conceptualized variously in the extant literature. For instance, Salem & Salem (2021) divides it into four types/components: behavioural loyalty, cognitive loyalty, affective loyalty, and cognitive loyalty.

Behavioural loyalty is displayed by behaviours such as repeat purchases while cognitive loyalty covers elements such as trust in the brand and attitude towards the brand. Affective loyalty focuses on the extent of the emotional bond between the customer and the product or brand while conative loyalty focuses on future intention to remain loyal (Salem & Salem, 2021). Srivastava & Rai (2018), meanwhile, argues that the key elements of customer loyalty include customer retention, customer satisfaction, customer trust, customer commitment, and customer advocacy. This perspective indicates some of the most critical drivers and outcomes of customer loyalty. Moretta et al. (2019) also takes this perspective arguing that customer loyalty arises primarily from an interplay of customer experience, perceived value, brand image, and customer engagement. Overall, it is hard to understate the value of customer loyalty to businesses. Researchers note that customer loyalty is more critical than current sales in predicting the long term success of businesses (Salem & Salem, 2021; Srivastava & Rai, 2018). This argument stems from the recognition that, in the long term, every business experiences periods of decline owing to factors such as intense

competition and new innovations unavailable to the business and customer loyalty is particularly critical in surviving these periods.

Researchers have also examined customer loyalty in the context of banks and other financial institutions. Evidence in the extant literature suggests that customer loyalty for banks generally follows the expected patterns discussed above. However, some unique elements have also been noted. For instance, Bhat et al. (2018) note that security and trust are paramount when it comes to customer loyalty for banks and long standing loyalty can end abruptly on these elements. This stems from the fact that banks are entrusted with people's financial assets and sensitive information that is not typical for other businesses. Chauhan et al. (2022), meanwhile, note that customer loyalty for banks has historically hinged on elements such as stability, structure, and rigid compliance but this has shifted in recent years due to the phenomenon of digital transformation. The researchers note that adopting and excelling in digital banking and transformation is increasingly critical in customer loyalty due to shifting preferences and expectations by consumers. Additionally, digital tools allow for more personalized services which are increasingly central for customers (Chauhan et al., 2022). However, the rise of digital technologies and other factors have also meant that customer loyalty on the whole has been declining. As Kumar et al. (2021) posit, consumers are generally less loyal to specific brands on digital platforms where their behaviour is known to be substantially different from offline consumer behaviour. Researchers have also noted that factors such as increased competition, Fintech disruption, security concerns, increasingly tech savvy consumers, regulatory changes, changing demographics, and security concerns are driving down customer loyalty for banks.

2.3.2 Customer Satisfaction

Customer satisfaction serves as the first independent variable of this research study. It generally refers to the level to which customers are happy and content with a company's products or services (Sánchez-Rebull et al., 2018; Yazid et al., 2020). Rosli & Nayan (2020) are more specific in their definition noting that it is a measure of how well a product, service, or overall experience meets or exceeds a customer's expectations. They posit that it reflects the customer's feelings and assessment of their experience with a particular company, product, or service. According to Yussoff & Nayan (2020), customer expectations have emerged as a central area of focus on the issue of customer satisfaction giving it a subjective element. This means that the Disconfirmation Model has become one of the most critical basis for conceptualizing customer satisfaction in the extant literature. Researchers generally note that expectations, perceived quality, emotional response, and general customer experience are generally the main concerns in relation to customer satisfaction (Yaqub & Halim, 2018). These elements are regarded as among the most critical factors that shape customer satisfaction. Other factors that are widely known to have a significant impact include service quality, value for money, and communication and feedback (Yussoff & Nayan, 2020). Research into customer satisfaction has been significant in the extant literature.

Khudhair et al. (2020) note that the high level of research is due to the fact that customer satisfaction is highly beneficial to businesses. The most notable of these benefits is customer loyalty. Research evidence has shown that customer satisfaction impacts customer loyalty both directly (for the satisfied customer) and indirectly (for other customers through word of mouth recommendations) (Arora & Narula, 2018; Uslu & Eren, 2020; Khan & Ghouri, 2018). Khan & Ghouri (2018) note that customer satisfaction generates positive customer-brand relationships

which make customers resistant to the actions of competitors, more forgiving of mistakes by the business, and less likely to switch resulting in higher customer loyalty. Other benefits of customer satisfaction such as free positive word of mouth marketing, brand advocacy, better feedback, and enhanced brand reputation also indirectly result in higher overall customer loyalty for the business as it makes other customers more willing to associate with the business for the long term (Arora & Narula, 2018; Uslu & Eren, 2020; Yussoff & Nayan, 2020). Customer satisfaction is also beneficial to a business in other ways beyond enhancing customer loyalty. Khan & Ghouri (2018) note that satisfied customers tend to be less price sensitive and more willing to spend more money which increases the revenues, long term sustainability, and market share of businesses. Customer satisfaction is thus a highly desirable outcome and it has become a key area of focus in practice around the world. Research on customer satisfaction has also been done in the context of banks.

Evidence indicates that the determinants and outcomes of customer satisfaction are generally similar for banks as for other businesses including on the issue of customer loyalty which is a primary positive outcome of customer satisfaction (Eklof et al., 2020; Fida et al., 2020; Wulandari, 2022; Zouari & Abdelhedi, 2021). However, special insights have also arisen in the specific context of banks. While making an assessment of the issue in the context of Malaysia, Lim et al. (2023) noted that the digital landscape has become a major factor through which overall customer satisfaction is influenced. The researchers noted that providing customers with options for digital self-service and the effectiveness of these services can play an outsized role in customer satisfaction. Effectiveness of handling of complaints through digital channels, personalization of services, complexity of digital services, and digital marketing experience have also been identified as key areas that influence bank customer satisfaction in recent years (Hettiarachchi & Bandara, 2021; Mohanty et al., 2023). The fact that e-customer satisfaction (electronic customer

satisfaction) has been found to be slightly varied from typical customer satisfaction is also a major issue that banks need to be aware of as they offer more digital services. According to Mohanty et al. (2023) online customers often expect instant gratification in the form of quick and reliable services and instant responses and satisfaction can reduce significantly over rather small issues.

2.3.3 Service Quality

Service quality is the second independent variable of this research study. It generally refers to a customer's assessment of the superiority of the services they are offered based on their expectations (Cahaya & Siswanti, 2020). This definition is derived from the seminal study on service quality that was undertaken by Parasuraman et al. (1985). The authors proposed that service quality is fundamentally the difference between expected and perceived services and this approach has formed the foundation of service quality as it is understood today. Two models underpin this conceptualization and have been widely used to conceptualize and assess service quality around the world: The Disconfirmation Model and the SERVQUAL model (Prabhu, 2023). The disconfirmation theory suggests that customers compare their perceptions of service performance with their prior expectations suggesting that past experiences and socially formed notions are the basis for the expectations that underpin service quality. The SERVQUAL model was proposed by Parasuraman et al. (1985) and holds that service quality has five core dimensions: reliability, responsiveness, assurance, empathy, and tangibles. Reliability refers to the ability of the service provider to deliver consistent and dependable service while responsiveness refers to the willingness and ability to assist customers promptly (Puri & Singh, 2018).

Assurance, on the other hand, refers to the customer trust and confidence that is built through competence and courtesy while empathy refers to the understanding and care displayed for customers' needs and concerns (Prabhu, 2023). Finally, the tangibles dimension focuses on

physical aspects of service, including facilities, equipment, and appearance. The SERVQUAL model emphasizes meeting customer expectations as the basis of quality services while another fairly used model, the SERVPERF model, emphasizes the performance aspect of service quality without considering customer expectations. Service quality has been widely researched in the context of banking services and the above models and conceptualizations have tended to dominate including in Malaysian research (Fatima et al., 2019; Puri & Singh, 2018; Prabhu, 2023). In a systematic review on bank service quality, Prakash (2018) identified enhanced customer satisfaction, enhanced customer loyalty, positive reputation, and higher competitiveness as the most important benefits that banks accrue from offering high quality services. Other benefits that have been identified in the extant literature include higher revenues, cost savings, enhanced employee morale, better regulatory compliance, and better efficiency among others (Fatima et al., 2019; Puri & Singh, 2018; Prabhu, 2023). Notably, these benefits are similar to benefits that other businesses accrue from offering superior services to their competitors.

Evidence from the extant literature also shows that there are emergent issues that are relevant for banks to be aware of in relation to service quality. One notable such issue is the concern around the use of technology and automation to complement or supplement service provision by human beings. This practice has grown significantly in the context of banking services in recent years with automation of responses to customer queries being a particular area of concern. Evidence indicates that bank customers are generally dissatisfied with automated services particularly in relation to complex or emotionally charged issues (Mehroli et al., 2023; Nguyen et al., 2021). This is essential in the context of this research because it implies that automation of customer services, which is increasingly common among Malaysian banks, is likely to be resulting in lower service quality and customer satisfaction. Overall, maintaining the expected level of

service quality across a myriad of offline and online channels is a growing concern for banks as services become more digitized. The increasing use of AI-powered customer services is also raising issues of security, data privacy, discrimination and algorithm bias, and overreliance on technologies (Cath, 2018; Königstorfer & Thalmann, 2020). There are also concerns about the environmental sustainability of service provision and a trend towards more personalized services that banks operating in Sabah need to be aware of.

2.3.4 Trust

Trust, or rather customer trust, is the third independent variable of this research project. Trust is a word that has a wide array of applications in the English language. In the context used in this study, it refers to a consumer's confidence in the banking organization, its operations, and its ability to effectively benefit the customer in the short and long term (Mai et al., 2021). It involves the belief that the bank will operate ethically, securely, and transparently while managing customers' financial assets. Trust is fundamental for a strong and enduring relationship between customers and their banks. Banks are entrusted with handling customers' finances and personal information which are very sensitive issues for customers hence the importance of trust in the relationship. Kidron (2021) argues that trust is a psychological state in which bank customers believe that their bank will act in their best interests, be reliable, and protect their financial assets. The researcher argues that there are three key aspects of trust: cognitive trust, affective trust, and behavioural trust. Hammouri et al. (2021), meanwhile, notes that the most critical factors that build customer trust for banks are reliability, integrity, benevolence, security, and privacy. Customer trust is essential for banks for a variety of reasons.

It is notable that researchers including Malaysian researchers have established that customer loyalty is one of the most central benefits of customer trust (Peng et al., 2019; Rahman

et al., 2020; Shamsudin et al., 2019). Trust fosters strong and lasting relationships between banks and their customers. When customers trust their bank, they are more likely to stay loyal and continue using its services. Other benefits of customer trust for banks include enhanced customer-brand relationship, increased deposits and investments, positive word of mouth, enhanced financial performance and sustainability, and enhanced competitive advantage (Dewobroto et al., 2022; Paudel et al., 2023; Peng et al., 2019; Rahman et al., 2020; Shamsudin et al., 2019). Paudel et al. (2023) point out that trust is one of the most critical determinants of long term success for banks. The researchers further note that trust is easy for banks to lose and this can occur suddenly and put the whole business at stake. It is thus critical that banks have concrete strategies to gain and retain the trust of consumers. Some widely recommended strategies in this regard include enhanced transparency, investment in robust security measures, clear communication, adherence to ethical practices, consistent regulatory compliance, clear and regular communication, and customer education among other practices (Fungáčová et al., 2019; Heyert & Weill, 2023). Customer trust in banks is always precarious and events such as the global financial crisis of 2007-2009 substantially shaken trust in financial institutions and banks globally.

In recent years, some issues have arisen that have serious implications for trust in banks. Once again, digital banking is one of the most notable issues in this regard. Researchers note that maintaining consumer trust in the digital sphere is much harder compared to traditional banking since scams, financial theft, and privacy breaches are easier on digital platforms and have been widely documented across the world in recent years (Martínez-Navalón et al., 2023; Pietrzak & Takala, 2021). Pietrzak & Takala (2021) note that oftentimes such breaches arise due to the actions of customers themselves but are nonetheless still very damaging to the reputation of banks. Investment in cybersecurity, customer education, and constant communication are critical in

preventing digital banking breaches and their damaging effects on banks' reputation and customer trust. According to Martínez-Navalón et al. (2023) the ability to retain customer trust in the digital sphere is increasingly critical to customer retention for banks implying that it significantly increases customer loyalty. The researchers further note that traditional banks still have an advantage over emerging Fintech-driven alternatives due to their history. However, this appears to be limited to older customers rather than younger ones who are more willing to trust alternatives rather than traditional institutions. The implication here is that traditional banks will need to develop concrete strategies to enhance the trust of younger consumers if they are to remain competitive in the long term.

2.3.5 Security

Security is the final independent variable of this research study. It generally refers to the state or condition of being protected from harm, danger, threats, risks, or unauthorized access (Baldwin, 2018; Morgan et al., 2023; Wang et al., 2022). However, in research, it has often been conceptualized from the perspective of perceptions because perceptions tend to have an outsized impact on consumer behaviour compared to actual security. For instance, Normalini et al. (2019) defined it in the context of banking as consumer's perceptions of the degree of protection against threats to their finances, data, and privacy. It is related to the various measures, processes, and safeguards designed to ensure the safety, integrity, and confidentiality of assets, information, individuals, or systems that are taken by banks. However, banks can have the most robust systems but customers perceive them as weak and this can have a significant major impact on consumer behaviour and choices. However, as Haney & Lutters (2018) note, perceptions of security by consumers generally reflect the efforts taken by banks to strengthen security and ensure that

customers are aware of it. Security has been widely researched in the context of banks because it is a critical function of banks.

According to Hammouri et al. (2021), research has focused on three core aspects: protection of assets, risk mitigation, and compliance with security related regulations. Consumers tend to be particularly concerned about protection of their assets (finances and data) and risk mitigation. Three primary areas of security have emerged in relation to banks in contemporary times: physical banking security, digital banking security, and data and privacy security (Aboobucker & Bao, 2018; Hammouri et al., 2021). Customers have always tended to view banking as precarious with notable risks of losses but this has increased in relation to the rise of digital banking. Researchers have consistently noted that perceived security of digital banking services is significantly lower than for physical banking services (Aboobucker & Bao, 2018; Hammouri et al., 2021; Li et al., 2018; Patel & Patel, 2018). It is thus a major area that banks need to focus on to reap the benefits of enhanced perceived security. Evidence in the extant literature indicates that high perceived security is highly beneficial to banks in terms of consumer behaviour. Enhanced customer loyalty has been noted as a major benefit across different research studies including those done in the context of Malaysian banks (Afroze et al., 2021; Rashwan et al., 2018; Purwanto et al., 2020). According to Rashwan et al. (2018) when customers believe that a bank is committed to their financial safety and protection, it fosters trust, confidence, and a sense of security, all of which contribute to enhanced customer loyalty.

Afroze et al. (2021) meanwhile, posit that the impact of perceived security on customer loyalty is mediated by enhanced customer-brand relationship, higher propensity for repeat business leading to long term relationships, enhanced cross-selling opportunities, and positive word of mouth propensity. These are all benefits of enhanced perceived security besides also predicting

enhanced customer loyalty. Perceived security also confers other benefits to banks such as protection of financial assets, fraud prevention, enhanced regulatory compliance, enhanced risk mitigation, financial stability, and superior competitiveness (Ibrahim, 2018; Sijan et al., 2022; Tan et al., 2021; Susanto et al., 2023). With respect to security, the issue of digital banking is also difficult to understate. While most traditional banks have robust security developed from years of experience and well developed industry standards and regulations, digital banking is an emergent area that presents challenges to these institutions. Abd Rahman et al. (2022) note the need for Malaysian banks to enhance cybersecurity arguing that most of the traditional banks have rushed into digital banking without developing effective cybersecurity strategies. This is a risky issue given that major security breach incidents can be very damaging to consumer confidence and trust and result in diminished loyalty.

2.4 Hypothesis Development

2.4.1 Customer Satisfaction and Customer Loyalty

The link between customer satisfaction and customer loyalty has been well highlighted in the extant literature. The abundance of research into this relationship is also evident in the context of banks. Tjahjadi & Limakrisna (2022) examined the effects of service quality, product quality, corporate image, and customer satisfaction on customer loyalty for Bank CIMB Niaga. The quantitative methodology was used in the study with a cross-sectional survey questionnaire used for data collection. 341 customers of the bank were sampled with a response rate of 29.3% emerging from this sample. A notable finding of the study was that there is a significant positive relationship between customer satisfaction and customer loyalty for customers of Bank CIMB Niaga. An earlier related study in the country was undertaken by Darmawan (2018) and examined the effect of service quality, customer satisfaction and corporate image on customer loyalty in the

banking sector. The study was also a cross-sectional survey study of bank customers with 250 bank customers in Java taking part in the study. Data was collected using a close-ended questionnaire and analysed using regression and correlation analysis. Findings revealed that all the factors being examined including customer satisfaction have a major positive impact on customer loyalty.

Another study that has examined this relationship recently for traditional banks is a study done by Al-Ghamdi et al. (2019) in Saudi Arabia. The quantitative study looked at the effect of corporate social responsibility activities on both customer satisfaction and customer loyalty and also examined whether there is a significant relationship between the latter two. 624 Saudi Arabians who were bank customers were recruited to take part in the study using convenience sampling. A piloted questionnaire with close-ended questions on the three variables was used to collect data and the findings were analysed using Pearson's correlation coefficient analysis. The study established that corporate social responsibility activities impact both customer satisfaction and customer loyalty. It also found an independent significant association between customer satisfaction and customer loyalty for the banks. Hayati et al. (2020) undertook another study in Indonesia that examined the effects of micro banking image, customer relationship and customer loyalty through the mediating effect of customer satisfaction. The effect of customer satisfaction on customer loyalty was also independently assessed. The study was a quantitative cross-sectional survey study that was done among micro bank customers in Bali, Indonesia. 100 customers of micro banks were surveyed using a structured questionnaire and statistical analysis was done on the outcomes of the study.

The study by Hayati et al. (2020) found that customer satisfaction positively mediates the effects of micro banking company image and relationship with customers on customer loyalty. It

also found that customer satisfaction has a significant positive impact on micro bank customer loyalty. A few limited studies have examined this relationship in Malaysia. For instance, Moorthy et al. (2018) surveyed 338 internet banking customers in Malaysia to assess the links between corporate image, customer satisfaction, and customer loyalty. The quantitative cross-sectional study found that a significant positive correlation exists between customer satisfaction and customer loyalty. However, it is notable that it was done for online banking rather than traditional banks and was limited in the number of factors examined. In another study, Sadiq & Adil (2021) examined the link between service quality and customer loyalty through the mediating effect of customer satisfaction in Malaysia and India. The comparative study targeted 293 and 287 bank account holders in India and Malaysia respectively using a structured questionnaire. Multiple regression analysis was used for statistical data analysis in the quantitative study. The study found a link between customer satisfaction and customer loyalty in both countries. However, this study was not undertaken in Sabah and was instead done for customers in Kuala Lumpur only. There is thus limited evidence in the context of Malaysia particularly among traditional banks in Sabah. This study sought to remedy this gap by assessing the following hypothesis based on the overall evidence in the extant literature:

H1: A significant positive correlation exists between customer satisfaction and customer loyalty among customers of traditional commercial banks in Sabah, Malaysia.

2.4.2 Service Quality and Customer Loyalty

There is also very abundant empirical evidence on the link between service quality and customer loyalty including in the context of banking. For instance, a study by Fida et al. (2020) made this assessment in the context of Islamic banks in Oman. The quantitative methodology was used in the study with simple random sampling used to recruit 120 Islamic bank customers and a

self-administered structured questionnaire used to collect data from them. Multiple regression analysis was used for the analysis with findings showing that service quality in general and all its individual dimensions have a significant positive impact on both customer satisfaction and customer loyalty. Interestingly, the findings showed that the most notable dimensions are responsiveness and empathy which were found to have the most significant impact on customer loyalty. Another study that was done in the Middle East on Islamic banking customer loyalty was undertaken by Alnaser et al. (2018) among 482 customers in Palestine. The quantitative study specifically assessed the relationships between service quality, customer satisfaction, and customer loyalty.

Regression analysis was used for hypothesis testing in the study by Alnaser et al. (2018) and findings of the study revealed that a significant positive correlation exists between all three factors. In Vietnam, a study by Nguyen et al. (2020) quantitatively explored the relationships between service quality, customer satisfaction, switching costs, and customer loyalty. The quantitative study was done in Hanoi with 227 customers of banks in the city recruited using random sampling. A seven point Likert questionnaire was used for the data analysis. The hypotheses in the research study were tested using both multiple regression analysis and Pearson's correlation coefficient analysis. The study found that all five dimensions of service quality (reliability, responsiveness, assurance, empathy and tangibility) have a major positive impact on customer loyalty. In another quantitative cross-sectional survey study, Afifah & Kurniawati (2021) examined the relationship between service quality, customer satisfaction, and customer loyalty for customers of Islamic banks in Indonesia. 136 customers of Islamic banks were randomly selected and a five point Likert agreement scale questionnaire was used to collect data from them.

Structural Equation Modelling based on Partial Least Square (SEM-PLS) was used to assess hypotheses that were proposed in the study by Afifah & Kurniawati (2021). The findings revealed a significant relationship between customer satisfaction, customer loyalty, and service quality. There is thus a high level of agreement on this issue in the international extant literature. Recent studies on this relationship have been scarce in Malaysia. The previously reviewed study by Sadiq & Adil (2021) made this assessment in India and Malaysia and found a positive relationship that is mediated by customer satisfaction. However, the study was limited to Kuala Lumpur and did not focus specifically on customers of traditional commercial banks. There have been very limited other studies done within the last five years assessing this relationship in the country and almost none in the context of Sabah. However, the empirical evidence is adequate to facilitate the development of the following hypothesis to help address this gap:

H2: A significant positive correlation exists between service quality and customer loyalty among customers of traditional commercial banks in Sabah, Malaysia.

2.4.3 Trust and Customer Loyalty

While less than those for customer satisfaction and service quality, there are still many recent empirical studies that have assessed the link between trust and customer loyalty for banks around the world. In one such study, Tabrani et al. (2018) examined the relationship between trust, commitment, customer intimacy, and customer loyalty in Islamic banking in Indonesia. The quantitative methodology was used in the study with random Likert scale questionnaires sent to 500 customers of Islamic banks across the country. A response rate of 40% was achieved in the study with 200 samples being returned. The hypotheses of the study were assessed using structural equation modelling. The outcomes showed that trust has the most significant impact on customer loyalty of the factors that were examined in the study. Ricadonna et al. (2021) did a similar study

in the country as they assessed the effect of trust and brand image on customer retention and whether customer loyalty mediates this relationship. The study was also a quantitative cross-sectional survey study and 100 Sharia bank customers were recruited to take part using simple random sampling. Structural equation modelling was also used to test the hypotheses in the study.

The outcomes of the study by Ricadonna et al. (2021) showed that both trust and brand image have a major positive impact on customer loyalty which was found to mediate the effects of the two factors on customer retention. Many other studies have been done in Indonesia over the last five years in the context of Sharia banks with the same findings. Evidence also exists beyond Islamic banks. Ahmad et al. (2021) examined the relationships between electronic service quality, customer trust, and customer loyalty for all types of banks in Pakistan. The quantitative study included 300 bank customers recruited through social media platforms for 15 randomly selected banks in the country. A Likert scale questionnaire was also used to collect data and regression analysis was used to measure the hypotheses of the study. The findings showed that there is a significant positive relationship between trust and customer loyalty for the banks. There is a notable paucity of recent studies on the relationship between trust and bank customer loyalty in Malaysia particularly in relation to commercial banks in Sabah. There is a need to address this gap and the evidence is adequate to underpin the development of the following hypothesis for this purpose:

H3: A significant positive correlation exists between trust and customer loyalty among customers of traditional commercial banks in Sabah, Malaysia.

2.4.4 Security and Customer Loyalty

Abundant recent empirical evidence also exists on the relationship between security and customer loyalty from across the world. For instance, Rashwan et al. (2019) examined the effects

of expected security and convenience of website design on customer loyalty for commercial banks in Egypt. The study was a quantitative cross-sectional survey study with 371 bank customers as participants. Convenience sampling method was used in the study and a Likert scale questionnaire was used for the data collection. The hypotheses in the study were statistically assessed using structural equation modelling, confirmatory factor analysis, path analysis, and direct and indirect analysis by using the Bootstrap method. A major finding of the study was that expected security has a major positive impact on customer loyalty for customers of commercial banks in Egypt. Purwanto et al. (2020) made a similar assessment in Indonesia but this was done in the context of mobile banking. The research used the quantitative methodology to assess the links between corporate image, security, word of mouth marketing, and customer loyalty among millennial bank customers in the country. A Likert questionnaire was also used for data collection in the study of 395 millennial mobile banking users in the country.

The collected data in the study by Purwanto et al. (2020) was analysed using structural equation modelling. A significant positive correlation between security and customer loyalty for millennial mobile banking users was found in the study. Afroze et al. (2021), meanwhile, examined the effects of privacy and security on e-banking loyalty among bank customers in Indonesia. The study also used the quantitative research methodology. 224 bank customers were randomly chosen to take part in the study and data was collected from them using a Likert questionnaire. IBM SPSS and AMOS version 24 were both used in the study to test the hypotheses that were developed. The findings of the study revealed that both privacy and security have a significant positive impact on customer loyalty in electronic banking. This trend is evident in further studies and it is evident that studies on security and customer loyalty have generally focused on digital banking over the last five years. Studies in the context of traditional banks have been limited in the international extant

literature. This limitation appears to extend to Malaysia including Sabah. There is a need to address this gap and the evidence is adequate to underpin the development of the following hypothesis for this purpose:

H4: A significant positive correlation exists between security and customer loyalty among customers of traditional commercial banks in Sabah, Malaysia.

2.5 Conceptual Framework

The aim of this research is to establish the determinants of customer loyalty for traditional commercial banks in Sabah, Malaysia. Specifically, the study assesses whether customer satisfaction, service quality, trust, and security have a significant impact on customer loyalty for the traditional commercial banks in Sabah. A detailed review of the extant literature has been done in this context and has revealed that prior studies have found that all four factors being examined have a significant positive impact on customer loyalty including for banks. It is on this basis that hypotheses have been developed to predict the relationship in the specific context of Sabah to facilitate the empirical assessment. Figure 2.1 below is a visual representation of these hypotheses and the model that will be tested to meet the objectives and answer the research questions of this study. The independent variables (customer satisfaction, service quality, trust, and security) are shown on the left while customer loyalty, which is the dependent variable, is shown on the right. The arrows indicate the direction of the hypothesized correlation between the variables.

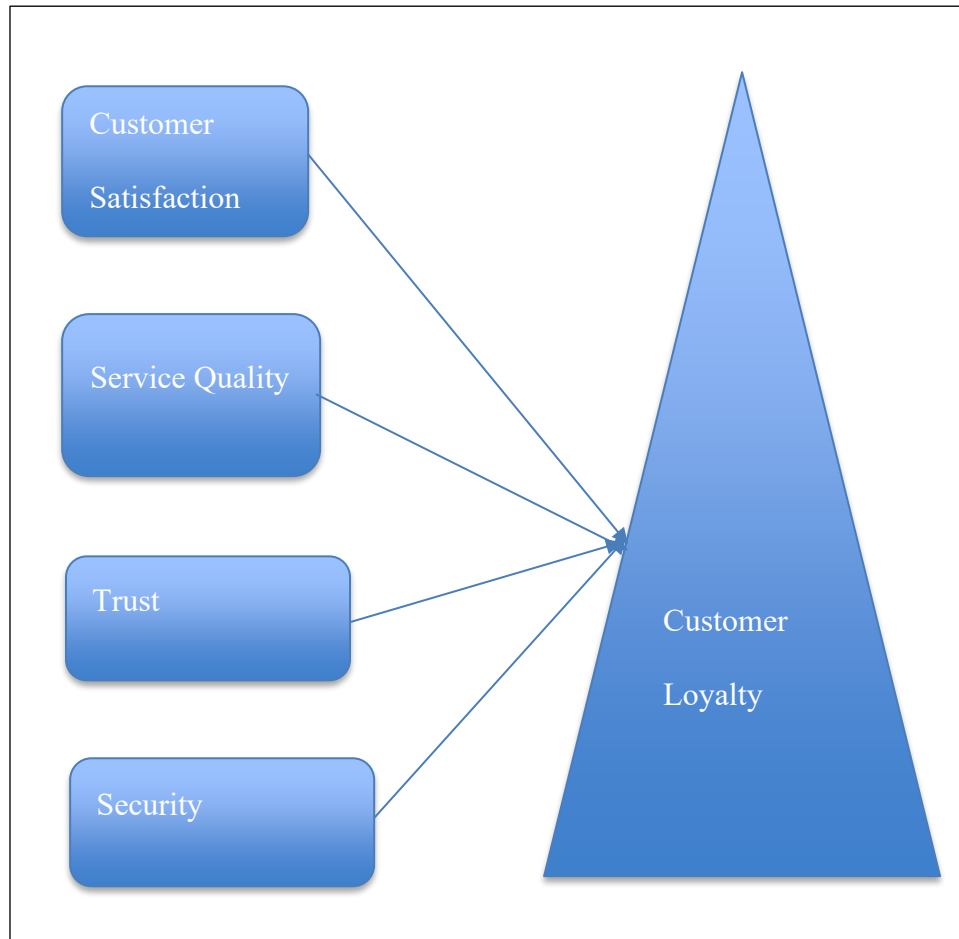


Figure 2.1: *Conceptual Framework*

2.6 Summary

The primary purpose of this chapter has been to cover a review of the extant literature to develop a theoretical basis for this research study. This has been undertaken successfully. The review started with a development of the theoretical framework for the study and the EDM emerged as the most suitable for the research. Based on this model, this study assumes that overall customer satisfaction and satisfaction with service quality, trust, and security explain how the independent variables impact customer loyalty. The theoretical framework was followed by a conceptual review that was focused on ensuring that the variables of this study are well understood on a theoretical basis. This objective was attained. The review revealed that the variables of this

study have been widely defined, researched, and conceptualized including in the context that is relevant in this study. The review revealed that customer loyalty is very critical for banks particularly in terms of long term success. It also revealed that customer satisfaction, service quality, trust, and security are theoretically relevant in developing customer satisfaction. A notable issue that cut across the conceptual review is the disruptive effects of digitalization in banking. Emerging evidence in the extant literature indicates that this issue is significantly influencing customer loyalty with digital customers being less likely to be loyal.

Additionally, customer satisfaction, service quality, trust, and security all have digital aspects and components that need to be effectively addressed by businesses if they are to retain customers and keep them loyal. Digitalization is thus not only an issue from an industry perspective but is also significantly disrupting the internal and environmental dynamics of individual traditional banks and there is a serious need for banks in Malaysia to develop suitable strategies to address the issue. The conceptual review was followed by the hypothesis development and conceptual framework. The hypothesis development revealed that there has been significant prior research into the relationships being explored in this study. However, it also revealed that there has been limited empirical research in the context of commercial banks in Sabah and hypotheses were developed to help resolve this gap. The prior research provided enough foundation to develop the hypotheses. Overall, the literature review was undertaken successfully. The upcoming chapter of the research describes the methodology that was ultimately used to empirically test the hypotheses developed in this chapter of the study. The methodology and design, population and sampling, instrument and instrumentation, data collection and data analysis frameworks and procedures of the study are discussed and justified in the chapter.

CHAPTER THREE: RESEARCH METHODOLOGY

3.1 Introduction

This research has established that customer loyalty is very critical for banks. It is in this context that the research seeks to establish the key factors that shape customer loyalty towards banks in Sabah, Malaysia. The opening chapter of the research assessment was the introduction while the sophomore chapter covered a review of the extant literature. The review's purpose was to provide context for the study and it underpinned the formation of the model and hypotheses that are examined in this research project. This current chapter describes the methodology that underpinned the empirical data collection and analysis for this research project. According to Mehrad & Zangeneh (2019) research methodology refers to the systematic framework and specific techniques used by researchers to plan, conduct, and collect and analyse data. The researchers note that it is important for the research methodology section of a study to clearly elaborate on the frameworks and specific steps adopted in a research as well as provide clear and evidence-based justifications for selection of the frameworks and specific steps.

Researchers note that flawed methodologies produce biased or unreliable data which undermine the credibility of the whole research process (Mehrad & Zangeneh, 2019; Tamminen & Poucher, 2020). A clearly described research methodology allows users to gauge if the methodology is flawed as well as allowing other researchers to attempt to reproduce the results through replication. These arguments mean that it is critical to get the research methodology right as it can affect the credibility and relevance of the whole research study. The methodology that was used in this study was rigorously developed on the basis of these arguments. This chapter clearly describes the methodological frameworks used, steps taken, and justifications for the same

in this research project. The research design, respondents, instrument and instrumentation, data collection procedures and statistical analysis procedures of the study are covered in this chapter.

3.2 Study Design

Reputable authors have offered a variety of approaches to conceptualizing the design of a study. This study follows the core considerations proposed by Mehrad & Zangeneh (2019). It considers the research philosophy & approach, research method, and research design as covered in the upcoming subsections.

3.2.1 Research Philosophy & Approach

Research philosophy and research approach are higher order considerations with serious implications on the extent to which generalizations can be deduced from the findings of a study. Research philosophy refers to the underlying belief system that guides a researcher in their pursuit of knowledge (Tamminen & Poucher, 2020). There are several paradigms that generally reflect the extent to which objectivity and subjectivity are acceptable in a study. In research, the two most commonly considered paradigms are the positivist and interpretivist paradigms. The positivist paradigm proposes that research can only be based on objectively collected data that is measurable and verifiable while the interpretivist paradigm holds that subjectivity is not a barrier to collecting relevant data (Žukauskas et al., 2018). The former paradigm is commonly used in quantitative research particularly research which seek to make objective inferences while the latter paradigm is mainly used in qualitative research. Objectivity is a critical consideration in this project since the study seeks to make inferences that apply to all customers of banks in Sabah.

This consideration meant that the positivist paradigm was adopted for this assessment of the determinants of customer loyalty for banks in Sabah. In relation to the approach, the deductive and inductive approaches were considered since they are the two major types of approaches used

in research studies. The deductive approach was adopted for this study over the inductive one. As Tamminen & Poucher (2020) posit, the deductive approach is the best for studies where there is already significant prior research and hypotheses can be formed to test existing theories in different contexts. Customer loyalty for banks has been very widely studied as shown in the second chapter and this was sufficient to form hypotheses to establish the major factors influencing it for customers of banks in Sabah. Additionally, this approach is typically used together with the quantitative methodology while the inductive approach is used for qualitative research studies that are used to generate preliminary evidence and theories.

3.2.2 Research Method

The quantitative method was selected in this study over the qualitative and mixed methods. This method is underpinned by the collection of numeric or structured data that can be statistically analysed (Mehrad & Zangeneh, 2019). The qualitative method involves collecting nominal level data that is difficult to statistically analyse while mixed methods involve collecting both categories of data. The collection of data that can be statistically analysed is the critical consideration that guided the selection of the quantitative method for this research study. Statistical analysis is the holy grail of hypothesis testing. The most effective approach to establishing whether customer satisfaction, service quality, trust, and security are critical determinants of customer loyalty towards banks in Sabah is through hypothesis testing to make generalizations. The quantitative method allowed for hypothesis testing to be undertaken based on data collected from a small sample of respondents. The hypotheses that were tested have been highlighted in the prior chapter and the quantitative method was thus the most suitable for this research project.

3.2.3 Specific Design

Zikmund et al. (2013) proposed three research designs that can be applied in business research: the causal design, descriptive design, and the exploratory design. According to the seminal researchers, the exploratory design is most suitable for inductive or qualitative research while the causal design is suitable for experimental studies where a cause and effect relationship is to be established. The descriptive design is recommended for quantitative research that seek to characterize phenomena or populations including by highlighting non-causal relationships. The design that was selected for this study is the descriptive design. This design was deemed to be the most suitable since this study is a quantitative study that did not set out to establish causality despite testing hypotheses. Under this design, the specific strategy that was used to collect data was the cross-sectional survey strategy. Thus overall, the design that was used in this research is the descriptive cross-sectional survey design. This design was deemed to be cost effective, time efficient, and adequate for meeting the objectives of this research study hence its selection and use in this project.

3.3 Respondents

Respondents are the subjects that take part in a research study. They are referred to as respondents because they 'respond' to calls to take part in a study and the term is particularly widely used in relation to surveys. Parker et al. (2019) note that in relation to the respondents of a study, the critical considerations are the target population, sample size, and sampling method used in a study. These considerations guided this study and are discussed in more detail below.

3.3.1 Target Population

Target population refers to the overall group of people or entities that is the focus of a research study (Etikan & Bala, 2017). It refers to the population from which the sample of a study

is directly taken from and to which inferences can be made. Berndt (2020) notes that the overall population of a study and the target population can be different if the sampling frame of a study did not focus on the overall population of the study. The researchers argue that it is very critical for the target population to be well defined and understood by the researcher so that mistakes are not made when making inferences. The overall population and target population in this study were different. This research set out to establish the critical factors that influence customer loyalty towards banks in Sabah. Customers of the banks in Sabah represent the most suitable source of this information on this issue. Customers of commercial banks in Sabah thus formed the overall population of this study. However, reaching customers in banking halls was deemed to be time consuming and costly for this study hence it was decided that a survey of customers on social media would be more suitable. The actual respondents of this study were customers of banks in Sabah who follow the social media accounts of these commercial banks. Thus, the actual target population of this research was customers of commercial banks in Sabah who have a social media presence and follow Facebook and Instagram pages of their banks.

3.3.2 Sample Size

Sample size refers to the actual number of respondents who took part in a research study. It is achieved through the process of sampling which refers to the process of selecting a portion of the overall population to take part in a study (Etikan & Bala, 2017). Sample size is critically important in a study because it directly impacts the reliability, validity, and generalizability of research findings of a study. Etikan & Bala (2017) note that sample sizes that are both too large and too small are problematic in research studies. According to the researchers, sample sizes that are too large unnecessarily waste resources and can lead to inaccurate findings of statistical significance while sample sizes that are too small can result in insufficient statistical power which

makes it difficult to detect real effects. It is thus essential for sample sizes to be in suitable range. There are different approaches to computing sample sizes for research studies. The statistical approach using G*Power analysis was deemed to be the most suitable for this research project because the actual target population size for this study was difficult to establish.

G*Power is a statistical software that is used specifically to estimate the suitable sample size for studies and has been found to be reliable even for studies where the target population is not numerically defined (Parker et al., 2019). It was used in this study to estimate the sample size. The following parameters were applied in this study:

- Effect size (f^2) = 0.15 (medium effect size)
- Significance level (α) = 0.05
- Power ($1 - \beta$) = 0.80
- Number of predictors = 4

Using these parameters, the suitable sample size that emerged was 198 participants. This was deemed to be the suitable minimum sample size for this study. However, the issue of non-responses also had to be taken into account in this study. The total pool of respondents that were sent the questionnaire was 300 respondents out of which 213 usable questionnaire samples were returned. This represented a response rate of 71.0% which was excellent. It is also above the minimum targeted sample size which was also deemed to be good for the study.

3.3.3 Sampling Method

The sampling method used in a study has particular implications for the generalizability (reliability) of the findings of a study. The key consideration in this regard is typically whether a sampling method is a probabilistic or non-probabilistic sampling method. According to Berndt (2020), probabilistic sampling methods involve random selection, ensuring each element in a

population has a known chance of being included, while non-probabilistic sampling methods do not rely on random selection and may result in a biased sample. This difference is very critical because it determines the extent to which the sample of a study will be representative of the target population of the study. Representativeness of a sample is in turn very critical where inferences are to be made. Probabilistic sampling methods are typically preferred in quantitative research studies where making generalizations is the goal since representativeness of the sample is important. This consideration was made in this study. However, using probability sampling methods proved to be too challenging since developing a sample frame was a major challenge. Additionally, ethical considerations meant that consent was necessary for participation in the study. As a result, non-probability sampling was used. Specifically, convenience sampling was used in this study with the most readily available and willing respondents included in the study. While necessary, the use of a non-probability sampling method represents one of the very few notable weaknesses of this study.

3.5 Research Instrument

3.5.1 Research Instrument

The instrument that will be used in this study is a Likert scale structured questionnaire. Such a questionnaire is suitable because structured questionnaires are used for collecting non-numeric quantitative data and this study aims to do this for the purpose of hypothesis testing. Aithal & Aithal (2020) define a questionnaire as a research tool used to collect information or data from individuals by asking them a set of standardized questions and note that a structured questionnaire is one that consists of close-ended questions. The scholars further note that a structured questionnaire is preferred for collecting quantitative data particularly where ordinal level data is to be collected which is the case for this study. The questionnaire for this study has been developed

from an analysis of questionnaire items used in prior studies that have examined similar variables to this study. The items were all adapted from these studies to ensure that they are suitable for this research

3.5.2 Instrumentation

The key constructs of this research study were operationalized through the questionnaire of the study. The questionnaire has six sections covering the demographic profile of respondents and the five variables of the study. The operationalization of the variables and instrumentation process are highlighted below based on the sections of the questionnaire.

Demographics

The first section of the questionnaire was designed to collect demographic information from the respondents of the study. Items included were designed to collect data on the age, gender, education level, and income level of the respondents. Data collected using the items in this section were measured at the nominal level of measurement.

Customer Satisfaction

Five items were used to operationalize customer satisfaction in the questionnaire of this research project. The items were all adapted from the study by Yazid et al. (2020). The ordinal level of measurement was used with the five point Likert scale used to measure the items for this variable. The table below gives more information.

Table 3.1: *Customer Satisfaction Instrumentation*

Construct	Codes	Items	Measurement Scale	Source
Customer Satisfaction	CS1	Overall, I had a good banking experience with my bank.	Five Point Likert Scale	Yazid et al. (2020).
	CS2	I am pleased with the bank's customer service's quickness.		
	CS3	My financial demands are efficiently met by the bank.		
	CS3	The variety of banking services and products offered meets my needs.		
	CS5	My struggles and challenges with the bank are satisfactorily resolved.		

Service Quality

Five items were used to operationalize service quality in the questionnaire of this research project. The items were all adapted from the study by Guo (2022). The ordinal level of measurement was used with the five point Likert scale used to measure the items for this variable.

The table below gives more information.

Table 3.2: Service Quality Instrumentation

Construct	Codes	Items	Measurement Scale	Source
Service Quality	SQ1	The staff at the bank is pleasant and accommodating.	Five Point Likert Scale	Guo (2022).
	SQ2	Both the bank's mobile app and website are easy to use.		
	SQ3	The bank offers quick and effective services.		
	SQ4	I can easily access the bank's ATMs and branch locations.		
	SQ5	The bank provides fees and interest rates that are competitive.		

Trust

Five items were used to operationalize trust in the questionnaire of this research project. The items were all adapted from the study by Kidron (2021). The ordinal level of measurement

was used with the five point Likert scale used to measure the items for this variable. The table below gives more information.

Table 3.3: Trust Instrumentation

Construct	Codes	Items	Measurement Scale	Source
Trust	T1	I have trust in my bank to keep my financial and personal information secure.	Five Point Likert Scale	Kidron (2021).
	T2	I think my bank does business in an ethical and open manner.		
	T3	I am confident in the monetary stability of my bank.		
	T4	I rely on the suggestions and counsel offered by my bank.		

	T5	My bank routinely carries out its obligations and promises.		
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Security

Five items were used to operationalize security in the questionnaire of this research project. The items were all adapted from the study by Morgan et al. (2023). The ordinal level of measurement was used with the five point Likert scale used to measure the items for this variable. The table below gives more information.

Table 3.4: Security Instrumentation

Construct	Codes	Items	Measurement Scale	Source
Security	S1	I believe my bank uses sufficient security precautions to safeguard my accounts.	Five Point Likert Scale	Morgan et al. (2023).
	S2	Clear information on security and preventing fraud is provided by my bank.		

	S3	I have confidence that my bank's internet transactions are secure.		
	S4	Any unusual activity on my account is swiftly reported to me by my bank.		
	S5	I think my bank has effective cybersecurity procedures.		

Customer Loyalty

Five items were used to operationalize customer loyalty in the questionnaire of this research project. The items were all adapted from the study by Budhi et al. (2022). The ordinal level of measurement was used with the five point Likert scale used to measure the items for this variable. The table below gives more information.

Table 3.5: Customer Loyalty Instrumentation

Construct	Codes	Items	Measurement Scale	Source

Customer Loyalty	CL1	I'll probably keep utilizing my present bank's services in the future.	Five Point Likert Scale	Budhi et al. (2022).
	CL2	I tell family and friends about my bank.		
	CL3	I'm willing to use new services that my bank is offering or create more accounts.		
	CL4	I have reluctance about switching banks.		
	CL5	My bank inspires a strong sense of loyalty and commitment in me.		

3.6 Data Collection Procedures

A pilot study was carried out prior to the actual data collection to facilitate the assessment of the reliability of the questionnaire that was used in this research project. 25 respondents drawn from Facebook and Instagram pages of commercial banks in Sabah were recruited for the pilot study. After the pilot study had been done successfully and the reliability of the questionnaire deemed to be sufficiently high, participants for the actual study were recruited. A recruitment

message that detailed the nature of the study and the profile of the respondents needed for the study was posted on social media pages for the commercial banks. Additionally, these messages were sent directly to the inbox of some prospective participants to increase the pace of recruitment. This was done until 300 respondents had agreed to take part in the study. The questionnaire was then sent to the participants and they were given 3 working days to fill it and send it back. At the end of the 3-day window, 218 samples had been returned. However, 5 were excluded for being incomplete. Thus a total of 213 usable questionnaire samples were collected.

3.7 Data Analysis Procedures

Data analysis will be done using SPSS software which was used to carry out various types of analysis. Descriptive statistics will be employed to provide a comprehensive summary and description of the primary variables. These statistics, including measures such as the mean, standard deviation, and frequency distributions, will be calculated to offer a detailed overview of the data. Correlation analysis will be conducted to explore the relationships among various variables. The Pearson correlation coefficient will be used for this purpose to determine the strength and direction of these relationships. This analysis will help to identify significant associations between variables and their impact on customer satisfaction. Regression analysis will be used to augment the correlation analysis in hypothesis testing. Multiple regression was for this purpose.

These data analysis techniques will allow for a comprehensive exploration of the research questions and facilitate the examination of relationships between variables. The regression analysis will use a significance of $p = 0.05$ and the correlation R value will be 0.1. Cronbach's alpha coefficient measures the internal consistency or reliability of a set of survey items. The results should be between 0 and 1. Higher values indicate higher agreement between items and show

consistency in a given respondent's answers to different survey questions. Statistical tables, graphs, and charts will be used to effectively communicate the results, making them more understandable for readers.

3.9 Summary

The methodology that was applied in this study has been discussed in detail in this chapter. The overall design, respondents of the study, and empirical processes have been discussed in detail. The next chapter presents the outcomes of the data analysis process undertaken in this study.

CHAPTER 4 – FINDINGS AND ANALYSIS

4.1 Introduction

Results of the data analysis were provided. The importance of these findings in light of the objectives of the study was also emphasised. The main study presentations are covered in this chapter using the research's variables. In this chapter, the results and explanations of the data were presented. Additionally, the significance of these findings was stressed in context of the study's goals. Demographic data is presented in the form of tables and graphs. The relationship between dependent variable which is Customer Loyalty among Bank Customers and independent variables which involved customer satisfaction, service quality, trust, and security was found out by analysing the data collected. This chapter's tables and graphs are intended to help readers better comprehend the findings of this study. For the anticipated responses, the forms were handed out. This research was based on 213 replies. In order to illustrate the data analysis, SPSS 26.0 software has been used.

4.2 Demographic Profile Analysis

In this research, we focused on four different aspects of the participants' demographics. The table below categorizes research participants based on their age, gender, education, and economic level. The goal of this category seems to be to further comprehend the demographics of consumers who are loyal to their banks.

Table 4.1 Demographic Profile

		Frequency	Percent
Age	25 – 34	42	19.7
	35 – 44	97	45.5

	45 – 54	57	26.8
	55 years and above	17	8
Gender	Female	91	42.7
	Male	122	57.3
Education	Bachelor's Degree	153	71.8
	Diploma	40	18.8
	High School or below	3	1.4
	Postgraduate Degree	17	8
Income Level	Below RM 30,000	31	14.6
	RM 30,000 - RM 60,000	118	55.4
	RM 60,001 - RM 100,000	40	18.8
	Above RM 100,000	24	11.3

The bulk of respondents, or 45.5% of the entire group, are between the ages of 35 and 44. Ages 45 to 54 make up the second-largest group, with a share of 26.8%. Ages 25 to 34 account for 19.7% of the population, while 55 and older people make up merely 8.0%.

In terms of gender distribution, there are somewhat more men than women, with 57.3% being men and 42.7% being women. This suggests that, in the sample, there is a greater proportion of males who are involved in banking activities that have an impact on loyalty, or it might simply mean that a larger number of men participated in the survey.

When looking at level of education, a sizable majority, 71.8%, possess a bachelor's degree. 18.8% of people have a diploma, whereas only 1.4% have merely a high school diploma or less. It's interesting to note that 8.0% of the sample is made up of people with postgraduate degrees.

Overall, the data point to a population that is predominately mid-aged, has a higher male presence, and has earned a Bachelor's Degree for the majority of people.

55.4% of people earn between RM 30,000 and RM 60,000 annually. The next large group, 18.8%, has an annual income of between RM 60,001 and RM 100,000. Only 11.3% of people earn more than RM 100,000, and 14.6% make less than RM 30,000. This is inside the middle-income bracket of the available choices, suggesting a significant correlation between those with middle-level incomes and their loyalty towards banks. The findings indicate that income might potentially influence banking loyalty, however those with very high or low incomes were not as actively involved or as well-represented in this research.

The data indicates that those who are in their middle age, have a higher level of education, and earn moderate salaries are more inclined to exhibit loyalty towards commercial banks, based on the demographics of the participants in this research. This data might be invaluable for banks seeking to optimize their marketing and customer service strategies in order to enhance client loyalty. Nevertheless, it is crucial to acknowledge the potential presence of selection bias and the need for a more extensive investigation in order to establish conclusive findings about consumer loyalty across various demographic categories.

4.3 Descriptive Analysis

The mean value of five interval scale structures is displayed using the central tendency analysis. We assess 213 items in SPSS using a 5-point interval scale with scores ranging from SD to SA. The descriptive statistical evaluation included using both the mean scores and the standard deviations. The participants' replies were evaluated using a Likert scale consisting of five points apiece, and the findings were thereafter shown. A higher mean value suggests a greater general agreement with the assertion in question.

4.3.1 Customer Satisfaction

The table presents descriptive data on customer satisfaction derived from a survey including 213 participants. The satisfaction levels were assessed using a 5-point Likert scale. The mean scores for all statements tend to cluster towards the upper end of the scale, surpassing the midpoint of 3. This suggests that consumers typically have a good reaction towards their banking experience.

Table 4.2 Descriptive analysis - Customer Satisfaction

	N	Mean	Std. Deviation
Overall, I had a good banking experience with my bank.	213	3.87	.982
I am pleased with the bank's customer service's quickness.	213	3.77	1.010
My financial demands are efficiently met by the bank.	213	3.84	.997
The variety of banking services and products offered meets my needs.	213	3.87	.868
My struggles and challenges with the bank are satisfactorily resolved.	213	3.79	1.008
Valid N (listwise)	213		

The satisfaction levels of customers with conventional commercial banks are shown in the table. The average scores for all statements on a 5-point Likert scale range from 3.77 to 3.87, showing widespread agreement or a favourable attitude among respondents. A mean score of 3.87 indicates that most customers had positive banking experiences. At 3.77, client satisfaction with the bank's speed of response is a little lower. With a mean score of 3.84, customers believe the

bank efficiently addresses their financial demands. The average rating for the diversity of banking services is 3.87. Score of 3.79 indicates that any problems or difficulties with the bank appear to be resolved satisfactorily. The standard deviations, which are nearly 1, indicate a fair amount of response variability. This implies that while the average ratings are good, there is a diversity of viewpoints among consumers. Overall, customers exhibit a high level of contentment in all facets of their banking experience. Nevertheless, the somewhat lower ratings for customer service prompt the bank to prioritize improving the speed and effectiveness of problem resolution, in order to raise overall customer satisfaction.

4.3.2 Service Quality

The table presents descriptive statistics for service quality from a survey with 213 participants

Table 4.3 Descriptive analysis - Service Quality

	N	Mean	Std. Deviation
The staff at the bank is pleasant and accommodating.	213	3.62	1.032
Both the bank's mobile app and website are easy to use.	213	3.61	1.122
The bank offers quick and effective services.	213	3.62	1.032
I can easily access the bank's ATMs and branch locations.	213	3.83	.987
The bank provides fees and interest rates that are competitive.	213	3.69	.979
Valid N (listwise)	213		

The table offers details on how customers rate typical commercial banks' customer service. The average ratings on a 5-point Likert scale indicate generally positive responses. The average ratings for all service quality criteria exceed 3.5, indicating that consumers are mostly inclined

towards agreement with the favorable features of the bank's service quality. The average score for customer satisfaction with bank employees is 3.62. A somewhat lower mean of 3.61 indicates that the bank's mobile app and website are generally user-friendly. Both the staff's responsiveness and the efficiency of the bank's services score 3.62. A higher score of 3.83 for accessibility to ATMs and branches stands out. A 3.69 mean score for the bank's costs and attractive interest rates also reflects praise. The moderate response variability is shown by standard deviations close to 1.

To summarize, the poll reveals overall contentment with the bank's service quality, highlighting notable advantages in terms of convenient access to ATMs and branches, as well as reasonable fees and interest rates. The mobile app and website usability, as well as the quality of personnel, have received excellent ratings from customers. However, there is a noticeable range in consumer answers, indicating that these areas may need attention for further development. In general, customers generally agree that the bank offers high-quality service, while there are certain areas where improvements might be made to enhance the overall customer experience.

4.3.3 Trust

The table presents data on customer trust in their financial institution, based on answers from 213 persons who were scored using a 5-point Likert scale.

Table 4.4 Descriptive analysis - Trust

	N	Mean	Std. Deviation
I have trust in my bank to keep my financial and personal information secure.	213	4.04	.918
I think my bank does business in an ethical and open manner.	213	4.07	.914
I am confident in the monetary stability of my bank.	213	3.91	.935

I rely on the suggestions and counsel offered by my bank.	213	4.03	.956
My bank routinely carries out its obligations and promises.	213	3.89	.902
Valid N (listwise)	213		

The table illustrates how customers feel about conventional commercial banks. The research indicates that there is a general trust in banks using a 5-point Likert scale. A mean score of 4.04 indicates that customers mostly trust their bank to protect their financial and personal information. With a mean of 4.07, the bank's ethical and transparent business practises are slightly more prevalent. The bank's monetary stability has a confidence rating of 3.91, which indicates some trepidation. With a score of 4.03, relying on the bank's recommendations is typical. A mean of 3.89 indicates that bank promises and obligations are consistently fulfilled. The overall standard deviation is below 1, suggesting a high level of consistency across participants' replies. This indicates a low level of variability and a broad agreement on the trust factors being examined. The research reveals that clients exhibit a substantial degree of trust in their bank across several aspects, with a notable level of trust in the bank's ethical standards and security protocols. While there is generally a high level of trust, there seems to be a somewhat lower level of confidence in the bank's financial stability and its ability to consistently meet its commitments. These areas might be areas of focus for the bank to improve customer trust.

4.3.4 Security

The table presents the opinions of bank customers on security measures, using a 5-point Likert scale and 213 responses.

Table 4.5 Descriptive analysis - Security

	N	Mean	Std. Deviation
I believe my bank uses sufficient security precautions to safeguard my accounts.	213	3.96	1.094
Clear information on security and preventing fraud is provided by my bank.	213	4.15	1.077
I have confidence that my bank's internet transactions are secure.	213	3.48	1.084
Any unusual activity on my account is swiftly reported to me by my bank.	213	4.01	1.012
I think my bank has effective cybersecurity procedures.	213	3.88	.962
Valid N (listwise)	213		

The table shows how customers feel about the security precautions taken by conventional commercial banks. The majority of clients believe their banks take adequate security safeguards, as evidenced by a 3.96 mean score on a 5-point Likert scale. With a mean of 4.15, banks giving clear information on security and fraud prevention are given the highest level of confidence. Confidence in the security of the bank's online transactions, however, is considerably lower at 3.48. A noteworthy 4.01 rating was given for prompt reporting of strange account activity, while 3.88 was given for confidence in the bank's cybersecurity procedures. The standard deviations that are close to 1 indicate that customers' perceptions vary moderately.

Consumers seem to place a high value on the information their bank provides on security and the responsiveness of the bank to anomalous behavior. Nonetheless, there is clearly room for

improvement when it comes to enhancing consumer trust in the safety of online transactions. While there is a broad agreement, the standard deviations of all the items indicate that there are differing viewpoints that the bank may need to address in order to guarantee a consistently high degree of confidence in their security procedures.

4.3.5 Customer Loyalty among Bank Customers

With replies graded on a 5-point Likert scale, the survey results on customer loyalty among bank customers is shown in the table.

Table 4.6 Descriptive analysis - Customer Loyalty among Bank Customers

	N	Mean	Std. Deviation
I'll probably keep utilizing my present bank's services in the future.	213	3.84	.883
I tell family and friends about my bank.	213	3.86	.998
I'm willing to use new services that my bank is offering or create more accounts.	213	3.73	.999
I have reluctance about switching banks.	213	3.85	.881
My bank inspires a strong sense of loyalty and commitment in me.	213	3.86	.890
Valid N (listwise)	213		

The table provides information on customer fidelity to conventional commercial banks. A mean score of 3.84 suggests that customers are likely to keep using the services of their present bank. A slightly higher score of 3.86 is awarded for recommending their bank to family and

friends, which is consistent with their strong sense of devotion and commitment to their bank, which received a 3.86 score. The willingness of customers to investigate new services or create extra accounts with the bank, however, stands at 3.73. Notably, a score of 3.85 indicates that there is a high tendency against shifting banks. The mild variation in these viewpoints is highlighted by the standard deviations that are close to 1. With strong signals that clients are likely to stay with their bank, refer others to it, and experience a strong feeling of commitment and loyalty, the figures show a high degree of customer loyalty. Even while there is a minor decrease in the desire to utilize new services, it still indicates a favorable attitude. The bank might investigate methods to boost enthusiasm and involvement in new service offerings while building on these solid loyalty foundations.

4.4 Normality Tests

The Shapiro-Wilk test was used in the course of this investigation. The Shapiro-Wilk Test is used to determine whether or not the data gathered originates from a population that has a normal distribution. If the p value is higher than 0.05, the researchers conclude that the data followed a normal distribution. The Tests of Normality table displays the results of the Kolmogorov-Smirnov and Shapiro-Wilk tests, which evaluate the distribution of survey data for Customer Satisfaction, Service Quality, Trust, Security, and Customer Loyalty among Bank Customers.

Table 4.7 Tests of Normality

	Kolmogorov-Smirnova			Shapiro-Wilk		
	Statistic	df	Sig.	Statistic	df	Sig.
Customer Satisfaction	.071	213	.011	.965	213	.000
Service Quality	.081	213	.002	.961	213	.000
Trust	.112	213	.000	.924	213	.000

Security	.157	213	.000	.934	213	.000
Customer Loyalty among Bank Customers	.079	213	.003	.947	213	.000
a. Lilliefors Significance Correction						

All variables exhibit p-values below 0.05 in both tests, indicating a substantial departure of the response distribution for each variable from a normal distribution. The assumption of normalcy is crucial in regression analysis, since it directly impacts the validity of certain statistical tests. The notable findings suggest that the data deviate from a normal distribution, potentially impacting the interpretation of regression outcomes. Consequently, it may be necessary to use non-parametric approaches or data transformation techniques for further research.

4.5 Reliability Statistics

The table presents Cronbach's Alpha values for different constructs, which indicate the internal consistency of survey questions that measure Customer Satisfaction, Service Quality, Trust, Security, and Customer Loyalty among Bank Customers. Each build consists of 5 elements.

Table 4.8 Reliability statistics

	Cronbach's Alpha	N of Items
Customer Satisfaction	0.854	5
Service Quality	0.848	5
Trust	0.896	5
Security	0.798	5
Customer Loyalty among Bank Customers	0.908	5

The Cronbach's Alpha scores, ranging from 0.798 to 0.908, all above the widely recognized threshold of 0.7, indicating a high level of dependability. The Customer Loyalty variable has the greatest degree of dependability, with a coefficient of 0.908, demonstrating a very consistent level of agreement across the loyalty components. Trust also has a high level of internal consistency, with a coefficient of 0.896. The internal consistency of both Customer Satisfaction and Service Quality is strong, with values of 0.854 and 0.848, respectively. The security construct has the lowest alpha coefficient (0.798), which is nonetheless deemed adequate. This suggests that the items within the construct are strongly associated and effectively assess the desired notion.

4.6 Factor Analysis

The researcher sought to determine the validity analysis of the factors of compliance with standard operating procedures of emergency medical services among first responders.

Table 4.9 KMO and Bartlett's Test

Kaiser-Meyer-Olkin Measure of Sampling Adequacy.		.840
Bartlett's Test of Sphericity	Approx. Chi-Square	643.694
	df	10
	Sig.	.000

The KMO score of .840 indicates a high level of suitability for factor analysis, indicating that the sample is appropriate for this kind of analysis. The Bartlett's Test of Sphericity yielded a chi-square value of 643.694, with a significance level of .000. This result suggests that the observed correlation matrix is not an identity matrix, suggesting that component analysis is suitable.

Table 4.10 Communalities

	Initial	Extraction
Customer Satisfaction	1.000	.721
Service Quality	1.000	.674
Trust	1.000	.813
Security	1.000	.343
Customer Loyalty among Bank Customers	1.000	.849
Extraction Method: Principal Component Analysis.		

The communalities section displays the extent to which the extracted factors explain the variation in the variables. The extraction communalities for Customer Satisfaction, Service Quality, Trust, and Customer Loyalty among Bank Customers are significant, with values of .721, .674, .813, and .849, respectively. However, the Security variable has a lower value of .343, suggesting less shared variance with the other variables.

4.7 Correlation Analysis

Pearson correlation analysis evaluation was utilized in this research, to examine the factors relationship. The use of the Pearson correlation coefficient was a suitable and rational approach to examine the relationship between each independent variable (IV) and dependent variable (DV) in the testing process. When the p-value is below 0.05, the null hypothesis, which states that there is no significant relationship, is rejected. A p-value below 0.05 indicates a significant relationship between two variables. The table displays coefficients of Pearson correlation that show the degree and direction of linear interactions between bank customers' customer loyalty and four independent variables: customer satisfaction, service quality, trust, and security.

Table 4.11 Correlation analysis

		Customer Satisfaction	Service Quality	Trust	Security	Customer Loyalty among Bank Customers
Customer Satisfaction	Pearson Correlation	1	.563**	.779**	.339**	.732**
	Sig. (2-tailed)		.000	.000	.000	.000
	N	213	213	213	213	213
Service Quality	Pearson Correlation	.563**	1	.652**	.391**	.733**
	Sig. (2-tailed)	.000		.000	.000	.000
	N	213	213	213	213	213
Trust	Pearson Correlation	.779**	.652**	1	.404**	.791**
	Sig. (2-tailed)	.000	.000		.000	.000
	N	213	213	213	213	213
Security	Pearson Correlation	.339**	.391**	.404**	1	.468**

	Sig. (2-tailed)	.000	.000	.000		.000
	N	213	213	213	213	213
Customer Loyalty among Bank Customers	Pearson Correlation	.732**	.733**	.791**	.468**	1
	Sig. (2-tailed)	.000	.000	.000	.000	
	N	213	213	213	213	213
**. Correlation is significant at the 0.01 level (2-tailed).						

H1: A significant positive correlation exists between customer satisfaction and customer loyalty among customers of traditional commercial banks in Sabah, Malaysia.

Customer Loyalty and Customer Satisfaction have a strong positive correlation of 0.732. This shows that there is a correlation between rising customer satisfaction levels and rising customer loyalty. Customers who are more satisfied with their financial interactions are also more likely to remain loyal to their bank, in real terms. The association is statistically significant at the level of 0.01 according to the p-value (Sig. 2-tailed), indicating that it is improbable that this is the result of random chance. The study therefore concludes that a significant positive correlation exists between customer satisfaction and customer loyalty among customers of traditional commercial banks in Sabah, Malaysia.

The results of this study on the factors that influence customer loyalty among retail customers of commercial banks in Malaysia are consistent with previous research conducted on the same subject. The study confirms the substantial positive correlation between customer

satisfaction and loyalty, which aligns with earlier research indicating that better customer satisfaction and good emotions have a tendency to enhance consumer loyalty (Lemon & Verhoef, 2016; Ramaseshan & Stein, 2014). For instance, in their study, Ramaseshan and Stein (2014) discovered that affective commitment, which refers to a deep emotional connection and engagement with a firm, strongly predicted customer loyalty among retail bank customers. Hence, the present research offers further substantiation that favorable emotional reactions are associated with loyal banking customers.

H2: A significant positive correlation exists between service quality and customer loyalty among customers of traditional commercial banks in Sabah, Malaysia.

On par with Customer Loyalty, Service Quality also shows a high positive correlation of 0.733. This remarkably similar coefficient to Customer Satisfaction suggests that the level of service offered by the bank has a similar impact on a customer's loyalty. Higher levels of loyalty are correlated with great service quality. A p-value of 0.000 once more confirms the correlation's statistical significance. The study therefore concludes that a significant positive correlation exists between service quality and customer loyalty among customers of traditional commercial banks in Sabah, Malaysia.

The substantial positive link shown in this study between service quality and loyalty also echoes previous research findings. Customer loyalty has already been shown as a key driver of high quality customer service across sectors and cultural settings (Amin et al., 2013; Kitapci et al., 2014). Kitapci et al. (2014) found that service quality aspects such as dependability, assurance, and staff empathy influenced both customer satisfaction and loyalty in retail banks. As a result, the new research confirms previous findings that outstanding, dependable service leads to persistent retail banking clients. As a result, banks that want to boost customer retention should

emphasize service quality activities and training initiatives that improve client interactions and satisfaction.

H3: A significant positive correlation exists between trust and customer loyalty among customers of traditional commercial banks in Sabah, Malaysia.

With a correlation of 0.791, Trust has the strongest relationship with customer loyalty of all the factors mentioned. This demonstrates how crucial trust is in financial relationships. Customers are much more inclined to stick with a bank when they have a high level of trust in it. The reliability of this conclusion is enhanced by the significant p-value (0.000). The study therefore concludes that a significant positive correlation exists between trust and customer loyalty among customers of traditional commercial banks in Sabah, Malaysia.

The correlation between trust and loyalty, as seen in this study, aligns with previous research that shows how a bank's perceived trustworthiness contributes to increased client retention (Kaura, 2013; Ramaseshan & Stein, 2014). For instance, Kaura (2013) demonstrated that trust has both direct and indirect effects on loyalty intentions among clients of Indian retail banks. The present findings provide more substantiation that establishing client trust may yield substantial benefits in terms of loyalty for retail banks, regardless of cultural circumstances.

H4: A significant positive correlation exists between security and customer loyalty among customers of traditional commercial banks in Sabah, Malaysia.

Compared to the other three categories, the positive association between security and customer loyalty is less strong, however it is still notable at 0.468. This suggests that while trust, service quality, and overall pleasure may be more important factors in determining loyalty than security, which is clearly a component. It is crucial to understand that security is still an important

factor, and that its correlation is statistically significant with a p-value of 0.000. The study therefore concludes that a significant positive correlation exists between security and customer loyalty among customers of traditional commercial banks in Sabah, Malaysia.

Similarly, the present study's discovery of a direct correlation between individuals' views of bank security and their intentions to remain loyal aligns with previous research results. Prior research has shown that experiencing a sense of financial stability and being safeguarded from possible hazards might enhance customer loyalty in the retail banking sector (Narteh, 2013; Ramaseshan & Stein, 2014). Studies conducted by Narteh (2013) and Ramaseshan and Stein (2014) have shown that customers who view themselves as having more financial stability tend to exhibit stronger loyalty towards their bank. Thus, the present findings support the conclusions on the significance of security services in fostering bank loyalty.

Overall, customer loyalty determinants seem to work similarly among retail banks in Malaysia and those explored in previous studies across geographic locations. These results add to the body of data supporting the wider literature by establishing robust correlations between satisfaction, service quality, and loyalty. This implies that banks throughout the world may implement comparable loyalty-focused tactics geared on increasing good feelings and service experiences. More study may help us understand how these linkages differ among cultural settings. These results provide more evidence for the existing literature by establishing strong positive connections between trust, security, and loyalty among retail banking clients in Malaysia. These findings may be used by retail banks internationally to direct their efforts in enhancing long-term client retention. Subsequent studies might investigate the comparative effects of these factors that influence loyalty, as well as possible differences in other cultural settings.

4.8 Regression Analysis

Linear regression analysis is used to forecast the value of a variable by considering the value of another variable. The variable to be predicted is referred to as the dependent variable. The variable used for forecasting the value of another variable is referred to as the independent variable. The tables of the offered regression analysis offer insights into the relationship between several variables and customer loyalty among bank customers.

Table 4.12 Model Summary

Model	R	R Square	Adjusted R Square	Std. Error of the Estimate
1	.862 ^a	.743	.738	.4082
a. Predictors: (Constant), Security, Customer Satisfaction, Service Quality, Trust				

Security, Customer Satisfaction, Service Quality, and Trust taken together show a very high linear association with the dependent variable, Customer Loyalty, with a R (Multiple Correlation Coefficient) value of 0.882.

R Square measures the percentage of the dependent variable's variance that can be accounted for by the independent variables. An R Square of 0.743 indicates that the predictors in the model can account for 74.3% of the variation in customer loyalty. This high score suggests that the model fits the data well. Adjusted R Square is slightly smaller than R Square, coming in at 0.738. This shows that, after taking into account the number of predictors, roughly 73.8% of the variation in customer loyalty is taken into account.

Table 4.13 ANOVA

Model	Sum of Squares	df	Mean Square	F	Sig.
1 Regression	100.007	4	25.002	150.072	.000 ^b

	Residual	34.652	208	.167		
	Total	134.660	212			
a. Dependent Variable: Customer Loyalty among Bank Customers						
b. Predictors: (Constant), Security, Customer Satisfaction, Service Quality, Trust						

The model has a F value of 150.072, according to statistics. This statistic's significance (Sig.) value is 0.000, which is less than 0.05. This indicates that at least one of the predictors is a substantial predictor of the dependent result, and the regression model (Customer Satisfaction, Service Quality, Trust, Security) strongly predicts the dependent variable well.

Table 4.14 Coefficients

Model		Unstandardized Coefficients		Standardized Coefficients	t	Sig.
		B	Std. Error	Beta		
1	(Constant)	-.173	.178		-.976	.330
	Customer Satisfaction	.247	.058	.240	4.246	.000
	Service Quality	.320	.046	.327	6.889	.000
	Trust	.351	.064	.342	5.494	.000
	Security	.124	.040	.121	3.084	.002
a. Dependent Variable: Customer Loyalty among Bank Customers						

The coefficients show how the dependent variable changes when the predictor is changed by one unit. For instance, if everything else remains the same, we can anticipate a 0.320-unit increase in customer loyalty for every unit increase in service quality. The corresponding Sig.

values are all less than 0.05, and the t-values test whether each coefficient differs from 0; hence, all predictors are significant.

Customer Satisfaction: The unstandardized coefficient (B) for Customer Satisfaction is 0.247, indicating that a one-unit increase in Customer Satisfaction is projected to result in a 0.247 unit increase in Customer Loyalty, while keeping all other factors equal. The statistical analysis indicates that this variable is highly significant ($p\text{-value} < .001$), providing strong evidence for the positive correlation between customer pleasure and loyalty. The standardized coefficient (Beta) is 0.240, enabling us to assess the relative impact of Customer Satisfaction on Customer Loyalty compared to the other variables in the model.

Service Quality: The unstandardized coefficient for Service Quality is 0.320, indicating a strong positive link with Customer Loyalty. This coefficient is statistically significant at a significance level of $p < .001$. Each incremental improvement of one unit in Service Quality corresponds to a 0.320 unit gain in Customer Loyalty. The standardized coefficient of 0.327 suggests that Service Quality has a somewhat more significant correlation with Customer Loyalty compared to Customer Satisfaction when assessing the respective predictive power of these factors.

Trust: The coefficient for trust is 0.351, which is statistically significant ($p < .001$). This indicates a strong positive correlation with customer loyalty. The predictor with the highest standardized coefficient (Beta) of 0.342 among the predictors is trust. This indicates that trust is the most influential predictor of customer loyalty in the model.

Security: The variable "security" has a positive unstandardized coefficient of 0.124 and is statistically significant ($p = .002$). This means that higher levels of perceived security are linked to higher levels of customer loyalty. Nevertheless, the standardized coefficient of 0.121 indicates that

the influence of Security on Customer Loyalty is lower compared to those of Customer Satisfaction, Service Quality, and Trust.

There is a statistically significant positive correlation between Customer Loyalty and the independent variables of Customer Satisfaction, Service Quality, Trust, and Security among bank customers. The highest correlation is shown with Trust, which is closely followed by Service Quality, Customer Satisfaction, and Security. It is indicated that in order to enhance Customer Loyalty, banks should prioritize the establishment of trust with their clients, delivering top-notch services, guaranteeing customer happiness, and upholding strong security protocols.

4.9 Summary of Hypotheses

The outcomes of the assessment of the hypothesis are shown in Table 4.15. This explanation makes it quite evident that all four of the hypotheses H1, H2, H3 and H4 were confirmed. The following is the summary of hypotheses

Table 4.15 Summary Hypotheses Findings

	HYPOTHESIS	STATUS
H1	A significant positive correlation exists between customer satisfaction and customer loyalty among customers of traditional commercial banks in Sabah, Malaysia.	Affirmed
H2	A significant positive correlation exists between service quality and customer loyalty among customers of traditional commercial banks in Sabah, Malaysia	Affirmed

H3	A significant positive correlation exists between trust and customer loyalty among customers of traditional commercial banks in Sabah, Malaysia.	Affirmed
H4	A significant positive correlation exists between security and customer loyalty among customers of traditional commercial banks in Sabah, Malaysia.	Affirmed

CHAPTER 5 – DISCUSSION AND CONCLUSION

5.1 Introduction

The current chapter provides an elaborate discussion of the findings in chapter four, in addition it gives conclusive remarks of the entire study. The limitations and recommendation for future research are as well outlines in this study.

5.2 General Discussion

5.2.1 Customer Satisfaction

The results of this study show that, consumers have a positive perception of the bank due to their good banking experiences, prompt handling of their financial needs, and skilful problem-solving. The results show that respondents generally agree or have a positive opinion of the bank and its offerings. As indicated by a mean score of 3.87, the majority of survey participants had favourable banking experiences. This high score suggests that, clients have a positive impression of their encounters with the bank. Similar research findings by Yussoff & Nayan (2020) revealed that customer expectations have emerged as a central area of focus on the issue of customer satisfaction giving it a subjective element. With a mean score of 3.77, customer satisfaction with the bank's response time is a little lower. However, the findings still imply that, the bank's ability to respond to questions or complaints from customers may still need some work. Customers believe the bank effectively meets their financial expectations which suggests that customers usually feel that the bank's services adequately meet their financial needs. While the bank meets customer needs, timely response is very critical to customer satisfaction. Based on the findings,

the score is a bit lower indicating the need to improve on the bank's response time. Timely response in financial institutions is significant in managing risk. Financial institutions in Sabah score average in terms of timely response to customer needs. Even though the banks are believed to meet customer satisfaction, the score in this area may affect how the customers view their services. For example, being able to identify and respond to customer issues promptly will limit the likelihood of larger problems from happening. Banks in Sabah need to address issues as early as prevent them from escalating. The mean score rate demonstrates that the banks in this region still need to work on their customer service. Addressing the issues promptly will not only prevent the problem from escalating but also reduce the risk of financial loss as well as reputational damage. On the other hand, prompt responses indicate that the bank values the needs of its customers. Many customers would wish to associate themselves with banks which are committed to their well-being. Timely response is one way the bank can demonstrate their commitment to their customers. Customer satisfaction is a broad concept that can be achieved in many ways. While the banks demonstrate their commitment to ensuring improved customer satisfaction, prompt responses must be taken seriously to avoid losing customers to competitors. The score is a little bit low despite having performed well in the customer satisfaction sector.

The variety of banking services has an average rating of 3.87 which indicates that because the bank meets a variety of financial demands, clients view it as providing a wide range of services, which is often viewed as a positive attribute. With an average score, the majority of the customers are satisfied with the banks' services. The score indicates that the banks offer a variety of services. In these services, the rating is average indicating the effort of the bank toward boosting customer satisfaction. Satisfied customers develop loyalty to the business. Banks in Sabah are working tirelessly to ensure customer needs are met. A variety of services offered by these financial

institutions meet the needs of different customers. This has a great impact on how the customers and other stakeholders view the banks in this region. A bank that is looking after the needs of its market and commits to fulfilling these needs develops a strong relationship with the market. Therefore, for participants to give the banks in Sabah such ratings, indicates that they are satisfied with the way the banks handle their needs. The average rating is a good move that encourages the bank to continue working to meet the exact needs of the target market. In every industry, clients will be attracted to businesses that meet their needs. Clients are the primary asset of every organization. Banks have their clients and they must commit to fulfilling their needs. Customer satisfaction can be achieved by ensuring the customers' needs are timely met. When customers feel valued by the institution, they become more attracted to it. In a saturated business environment, institutions struggle for customers. Customer satisfaction will determine the ability to retain customers. From the findings, banks in Sabah are committed to fulfilling their customers' needs.

With a mean score of 3.79, any issues or challenges clients have with the bank are handled satisfactorily which in turn enhances customer satisfaction leading to customer loyalty. This is encouraging since it shows that the bank is capable of handling the problems and worries that its clients bring up. Hettiarachchi & Bandara, (2021) also identified other important factors that affect bank customer satisfaction have been identified, including the efficiency with which complaints are handled through digital channels, personalization of services, complexity of digital services, and digital marketing experience, these findings concur with the current study's findings. There is a good amount of response variability, as indicated by the standard deviations, which are almost 1. This indicates that even if the average scores are high, there is some variation in the opinions and ratings of specific customers on the bank's services. While some consumers might have had less favourable experiences, others might have had more favourable ones.

5.2.2 Service Quality

Customers have a neutral to positive opinion of the bank's representatives, products, services, physical locations, prices, and interest rates, according to the data. The findings of this study reveal that customers are generally satisfied with the bank's staff to the extent indicated by this score. Consistently Trivedi, (2019) revealed that the bank's digital platforms may need modification to improve the user experience, as indicated by the score. Customers give the bank a score of 3.62 for both the responsiveness of its staff and the efficiency of its services, suggesting that they find both to be about average. Quality services impact the firms positively. Based on the findings, the majority of the people reveal their satisfaction with the bank's services. The bank offers a variety of quality products. The findings indicate that banks scored average in this area. Quality services correlate directly with customer satisfaction. When the quality of services offered in the institution meets customer needs, their level of satisfaction is improved. Satisfied customers are the backbone of the success of a business. They are associated with repeat business, and loyalty, and are likely to recommend others to the business. The bank's score is average indicating that it is fairly good. Although there are areas for improvement, the score is positive considering the nature of the industry. The institution has responsive staff. The responsiveness of its staff has contributed to its quality of services. This has greatly impacted its growth and success in the region. People are satisfied with how the staff handles their needs. The responsiveness of the staff as stated strengthens customer relations with the firm. The firm's concern with quality services strengthens customer loyalty. For example, when the company commits to providing its customers with quality services, the customers are less likely to switch to rivals in the industry. Besides this reduces competition because the customers are satisfied with the services offered by their preferred financial institution. The findings highlight the performance of the company in the region. The

respondents demonstrate their level of satisfaction with the services offered by the institution. An average score is fairly good for the institution although there is a need to improve in the area.

These ratings are satisfactory but not outstanding, showing that there is room for improvement in terms of personnel response and service efficiency. Similar findings by Manser Payne et al., (2021) indicated that the convenience of the bank's ATMs and physical locations is reflected in the score, which is seen as a plus by clients. Customers have a positive opinion of the bank's pricing and interest rate offerings (mean score of 3.69) because of the bank's convenient location and competitive interest rates. This indicate that the bank's interest rates and other fees are well received by its clientele. While the majority of responses are favourable, the standard deviations reveal substantial differences in how different customers feel about the same thing. Customers' opinions and ratings on various parts of the bank's offerings appear to be quite dissimilar.

5.2.3 Trust

Customers who trust their bank to protect their financial and personal information have a mean score of 4.04. Similar findings by Li et al., (2021) indicated that customers' trust the bank's security systems and abilities to protect their personal and financial data. With an average of 4.07, the bank's honest and open dealings with customers are slightly more common. With this score rate, it is evidence that the customers trust the bank with their money. The bank's clients have trusted it with their money thus their continuous relation. It takes courage for one to consider transacting with a given institution. However, the findings indicate that the majority of those transacting with the bank are confident and trust the institution with their financial transactions. Trusting the bank enables the client to engage in various activities. For example, depositing and withdrawing from the bank, and making investments among many other financial activities. The

bank scores positively in this area suggesting that it has established a strong trust with its clients. The customer trusts the bank with their financial data. They believe in the bank's ability to protect their financial information. Providing the bank with one's financial detail demonstrate their trust in the bank. Besides, the bank handles serious financial information. Trusting the bank with sensitive financial information demonstrates that one is confident with the bank's way of operation. The score portrays that the clients trust the bank to ensure the confidentiality and privacy of their financial information. The bank has maintained the highest number of clients in the region due to its ability to maintain confidentiality of their personal information. It is stated that a breach of trust may lead to severe consequences leading to reputational damage. Over the years of its operation, the bank has remained focused on maintaining this trust.

Similarly, Chawla & Kumar, (2022) revealed that customers have the impression that the bank is honest and operates in a moral manner. Maintaining a good name requires earning and keeping people's trust in this way. The findings however indicate that some of the bank's customers have some doubts about its solvency. Customers' faith in a bank's ability to safeguard their money is directly correlated to the health of the economy, (Agustina, 2021). When it comes to financial products and services, customers trust the bank's expertise. Having trust in the bank's suggestions can boost client loyalty and contentment. With a mean score of 3.89, customers strongly agree that the bank reliably meets its responsibilities. Open communication contributed to the development of trust between customers and banks. The bank has remained honest and open with its dealings. Customers are allowed to participate in everything within the organization. The bank has established an open line of communication to enable customers to monitor their dealings and transactions. Effective communication has strengthened the relationship between customers and the banks. Moreover, with open communication, customers will be willing to listen to advice

provided by the institution. Communication builds trust hence boosting the relationship the firm has with its clients. Honest and open dealings are influenced by communication in the firm. Effective communication will lead to open dealings. When customers realize the business is engaging in open dealings, they develop trust in it. Based on the findings, the bank has managed to maintain its good image by engaging in open and honest dealings. The bank handles financial information. It has to convince the public to trust it in its dealings. The findings demonstrate the bank's ability to protect and safeguard customer's financial information. With clear and transparent communication, the clients are satisfied with the bank's dealings. This motivates them to continue with their relationship. Despite the availability of many banks in Sabah Malaysia, the firm has managed to maintain customer trust over a long time. Some issues or challenges may emerge in a banking relationship however with trust, solving the challenge will be easy. Customers trust the banks and believe that it has the ability to solve their financial problems.

While still favourable, this score is lower than others that include trust. It indicates that people believe the bank to be trustworthy overall, but that there may be occasions when customers' expectations regarding the bank's reliability are not fully realized. Statistically, a standard deviation close to 1 indicates a moderate dispersion of consumer feedback. This indicates that while there is some agreement regarding the degrees of trust held by customers, there is still room for individual interpretation. Data security, ethics in business, and the bank's recommendations are all areas where the results indicate a reasonably high level of client trust. The standard deviations indicate that there is some range of customer opinion, underscoring the importance of the bank's ongoing efforts to earn and keep its customers' trust.

5.2.4 Security

According to the results, when banks provide transparent information on security and fraud prevention, customers are more likely to trust them to adopt sufficient security protections. A mean score of 3.96, reveals that most customers agree that their bank provides sufficient security. Based on the score, the majority of the people trust the bank to ensure strict security for their financial information. They trust the bank's ability to implement efficient security protections. The bank deals with sensitive information. This requires them to adopt sufficient security protection to avoid theft or fraud. Generally, robust security measures must be adopted by every financial institution to prevent intruders from interfering with personal information. Strict measures prevent identity theft or fraud from happening. The bank has scored positively in this area due to the trust its clients have regarding the security measures adopted. The company has managed to prevent theft from taking place since its establishment. This has positively impacted its performance and growth in the region. It is stated that financial institutions are usually the main target of criminals. They target these institutions to access customer data. However, the mean score recorded by the respondents indicates the bank's commitment to protecting customer data from intruders. This has strengthened their relationship with the banks. The security measures adopted by the bank have ensured customer data are protected from outsiders. This contributed to the trust the customers had in the business. Security is very important in financial institutions. Banks strive to ensure strong security to maintain their customer base. A breach of security can affect the bank and the customers. The effects may have a long-term impact on the way the company operates. Therefore, protecting against fraud or identity theft safeguards the organization and the customers. This is encouraging because it shows that customers trust their banks to take the necessary precautions to safeguard their money and sensitive information.

Datta et al., (2020) had similar findings to the current study that customers need to have faith in the safety measures taken by a bank if they are to continue using that institution. The findings as well suggest that clients place a premium on openness and straightforward communication from their banks regarding security and fraud prevention. Similar findings by Alhosani & Tariq, (2020) indicated that customers are more likely to trust and invest in a bank if the bank is open and honest about its efforts to improve financial literacy. The average score of 3.48 indicates much lesser confidence in the safety of the bank's online transactions. Customers' worries regarding the safety of their online banking operations are understandable in light of this. Lack of confidence in online transactions is a challenge experienced by the institution. The score indicates that the majority of the customers are less confident in terms of their online transactions. With the increased number of data breaches and cyberattacks, customers have developed a fear of online transactions. For example, when cyberattacks or a breach occur in an institution, customers tend to lose loyalty toward it. This has become a major challenge for banks today. Customer fear for their financial data and find it challenging to trust online transactions. Phishing scams have increased in the finance industry. This occurs when a fraudster strives to convince a client to provide their sensitive information. Usually, these fraudsters masquerade as bank employees. A customer might end up being duped to believe these frauds and provide their bank details. Such issues have occurred in many financial firms. Ideally, this has also undermined customers' trust in online transactions. The majority of the bank's customers are afraid of falling victim to such incidents. The findings indicate that the majority of customers are afraid of online transactions despite trusting the bank with their financial information. Moreover, many are concerned about unauthorized access to their accounts or even potential for identity theft. This fear may hinder a person from engaging in any form of online transaction. The majority of the respondents

demonstrate that in as much as they trust the bank, they are hesitant toward online transactions. This is because of the security issues associated with online transactions.

Consistently Allen et al., (2020) indicated that customers may want reassurance from their banking institutions that their personal and financial data is secure when conducting transactions online. The findings as well suggests that clients believe their financial institutions are responsive when it comes to reporting suspicious activity on their accounts. In order to prevent fraud and unauthorized access, prompt reporting is essential. In order to keep customers' trust and personal information safe, cybersecurity must be prioritized. Standard deviations near 1 suggest moderate dispersion in consumers' opinions. This indicates that there is some agreement among customers regarding the safety practices of banks, but that there is also a fair amount of variation among those customers.

5.2.5 Customer Loyalty among Bank Customers

Customers are likely to stick with their present conventional commercial banks, according to these results. The majority of the clients are pleased with your services and are eager to continue working with you. In addition to being loyal to the bank themselves, clients with a mean score of 3.86 are also likely to recommend it to their friends and family. This is indicative of a very high degree of contentment with and trust in the bank's services. Satisfied customers become loyal to the company. Other than repeat business, and loyalty, these customers are likely to recommend their friends and family to the institution. Financial firms attract audiences through recommendations from existing customers and by providing quality services to the customers and the public all. Attracting a massive audience will depend on the quality of services offered by the bank. The findings indicate that the majority of the customers are satisfied with the bank's services. This way, they will recommend their friends and family members to the bank. Some banks have

many loyal customers compared to their competitors. This is due to the power of word of mouth. Contented customers can help the bank spread the message to other people in the business environment. It is easier to convince other members to consider the bank following one's experience. As such financial institutions are striving to establish positive relations with their customers to boost their experience. Customer loyalty is influenced by many factors. Customer service and the quality of services offered impact customer loyalty. The mean score demonstrates that many customers are content with the services offered by the bank. As such, they are motivated to recommend their friends and family members to consider their bank. Moreover, they carry the name of their bank with high esteem considering the services they receive from the bank. When talking about the bank, they motivate other individuals to shift to their service provider and enjoy the services offered.

Similarly, Mainardes et al., (2020) revealed that financial institutions can benefit greatly from referrals from satisfied clients. Customers are less likely to try new services or open new accounts with their present bank, as indicated by the mean score of 3.73. As a result, it's possible that clients are pleased with the services they receive from their bank and aren't actively looking for alternatives. When clients are satisfied with their existing products and have a long-standing relationship with the bank, they will be hesitant to open a new account or try a new product. Contentment means they are satisfied with the service they receive from the existing product or account. It is difficult to challenge these individuals to try new products and open new accounts. This is because they have become loyal to the business and are aware of the value it offers them. Loyalty may hinder one from trying a new thing. The mean score denotes the unlikability of the customers to shift toward competing banks or explore a new product. Clients are motivated to stay loyal to the business when their needs are met. Developing trust in a financial institution is

difficult. This is because of the challenges experienced in this industry. However, when one becomes loyal and committed to a given financial firm, it will be difficult to convince the customer otherwise. Trusting a financial firm means that one has considered many factors before associating with it. The client is aware of the risks that are likely to emerge and the measures adopted by the institution to prevent those risks. As such, the person develops trust and becomes more loyal to the firm. Shifting to another provider or opening a new account can be a challenging task for such individuals. Besides, these customers will prefer to stay loyal to the existing account or product, instead, of trying a new one with new challenges.

Clients are very loyal to their current financial institution and have no plans to switch. This is consistent with the ideas of dedication and loyalty. Standard deviations near 1 indicate some disagreement among consumers despite widespread agreement on some issues. The little discordance in opinions suggests that, despite the existence of a general tendency, individuals may have slightly different perspectives. Positive findings about client loyalty in the context of traditional commercial banks are reflected in the data. On average, customers are pleased with their banking experience and plan to stick with their present institution. They are willing to give the bank a positive recommendation.

5.2.6 Correlation Analysis

The results of the study show a robust positive association between customer loyalty and customer satisfaction. Allen et al., (2020) had similar findings to the current study that customers who report feeling valued by their bank are statistically more likely to continue banking there. The level of service provided by the bank has an equivalent effect on client loyalty, as measured by the correlation between the two variables. Superior service results in more satisfied customers who return again. Trust is the most strongly correlated with continued patronage. When a bank has a

high level of customer trust, customers are considerably more likely to stick with it. Loyalty may be determined less by security and more by trust, service excellence, and general satisfaction.

Satisfied customers are the most loyal customers. The relationship between customer relations and customer loyalty directly impacts each other. When customers feel valued by the institution, they become loyal to it. Contrary when they feel underappreciated by the institution, they are likely to shift to competitors. The loyalty of the client and satisfaction affect each other. It is impossible for dissatisfied customers to remain loyal to the business. Such customers will search for institutions that value their satisfaction and shift their focus towards it. Loyalty and satisfaction are important elements that must be focused on by financial institutions. The correlation between these two will impact the performance of the bank in the industry. Financial firms must strive to build on customer loyalty by improving their experience. For instance, customer service experience will have a great impact on their satisfaction and loyalty. Customer experience in the firm or with the product offered will determine their satisfaction level. Therefore, a high satisfaction level equates to customer loyalty. Similarly, a positive brand image and reputation will contribute to customer loyalty and satisfaction positively. When customer feel value for their money, they become satisfied hence boosting their loyalty. Financial firms acknowledge the correlation between customer loyalty and customer satisfaction. Each of these two influences the other in the business environment. The correlation between them enables the business to move forward or to become competitive in the evolving business environment. Satisfied clients are loyal to the business and are likely to recommend others.

Trust is an important factor in the relationship between clients and businesses. As the finance industry becomes saturated, financial firms are required to build trust with their customers to remain competitive. Trust is directly correlated with customer loyalty. It is usually viewed as

the foundation of customer loyalty. Businesses are striving to stay relevant in the marketplace by establishing trust with their customers. For example, when clients trust the bank, they are likely to continue patronizing the firm for the long term. This will directly impact the well-being of the firm thus increasing its market share. Besides, trustworthy institutions seek to attract more customers in the marketplace. There are many financial firms in Sabah, Malaysia. However, the trustworthiness of the firm attracts repeat business. Clients need to trust the business to develop loyalty towards it. When customers trust the firm, they are likely to make repeat purchases which in turn makes them loyal customers. Financial firms are committed to building customer trust as they struggle for limited customers in the saturated industry. Additionally, transparency and honest communication are critical in building trust. Customers are attracted to financial institutions that engage in open and honest dealings. Through communication, these individuals will be aware of the activities taking place in the institution. Communicating about the institution even during difficult times will help in maintaining customer loyalty. When the clients are informed about every activity taking place in the institution, they develop trust in the firm. Trusting the firm makes them more loyal to it hence strengthening their relationship.

5.2.7 Regression Analysis

These findings imply that a number of factors, including security, trust, customer satisfaction, and service quality, have a significant impact on a client's loyalty. These variables account for about 74.3% of the variances in customer loyalty. The significance of these variables in comprehending and forecasting client loyalty is confirmed by the strong linear correlation and the high R Square value.

5.3 Implications of the Study

5.3.1 Theoretical Implications

The research adds to our theoretical knowledge of customer satisfaction by illuminating the role that variables like service quality, trust, and security play in determining that variable. For example, trust and service are mutually reinforcing. Trust is influenced by continuous service excellence in the institution. Service excellence is critical in building trust among clients. At the same time, trust influences the organization to continue delivering excellent services to its clients. Therefore, this indicates that the two reinforce each other. Further, the two emphasize the importance of a customer-centric approach. A customer-centric approach is important in the business environment. The study demonstrates that a financial institution must focus on a customer-centric approach to build trust and deliver excellent services. Understanding customer needs and appreciating these needs is significant in building trust and delivering excellent services. Similarly, organizations that show commitment to building trust and delivering excellent services prioritize continuous improvement. Such institutions seek feedback from their stakeholders including customers, adjust to the changes in the business environment and strive to improve their performance. This adds to the existing frameworks and theories concerning consumer contentment. In order to build client loyalty, the study highlights the significance of trust and service excellence. It theoretically substantiates the claim that these elements have a substantial effect on consumer loyalty and should be incorporated into loyalty models. The results improve our knowledge of service quality in banking.

5.3.2 Practical Implications

The findings of this research can help financial institutions create and put into practice strategies to keep their customers. Retaining current consumers can be aided by putting an

emphasis on customer satisfaction, trust, and safety. The research provides solid evidence for the banking industry to prioritize service quality. Staff training, process streamlining, and digital platform improvements are all examples of ways in which this can be done. Based on the study's findings to improve their public perception, banks should use messaging that highlights their dedication to safety, trustworthy processes, and excellent service. When new banking goods or services are being developed, it might be helpful to have an understanding of what elements influence customer loyalty.

5.4 Limitations of the Study

Because only numerical data could be obtained due to the quantitative study approach used for data collection and analysis, participants' capacity to offer insightful feedback on the research variables was constrained. A final sample consisting of only 213 participants was produced due to time restrictions in data collecting and processing. The instruments used such as surveys and questionnaires failed to capture the depth and breadth of human experiences. Studying customer loyalty in the finance sector involves focusing on their experiences. The survey and questionnaires used to capture the information may have generated incomplete data thus the need for future studies.

Overreliance on numerical data may have led to oversimplification of some complex data. this is a major limitation associated with this study. For instance, some aspects of human behaviour or social dynamics can be challenging to quantify accurately. Human behaviour is influenced by subjective experiences along with contextual factors. This makes it difficult to quantify their behaviour accordingly. For example, in the process of quantifying individual behaviour using numerical data, some important features such as the richness of individual experiences or historical

contexts are likely to be lost. One may be required to alter the data to fit the needed measurements. As a result, the findings may not be accurate because of the adjustments.

Another limitation is the inability to capture unobservable variables. While the study focuses on customer loyalty in the banking sector in Sabah, Malaysia, some aspects of human behaviour were ignored. The study was unable to capture aspects such as customers' emotions toward the bank and social interaction. Customers have different emotions toward the bank. Their interaction is another important aspect to consider. However, it can be challenging to quantify their emotions and interactions accurately. For example, feelings and attitudes may not be captured accurately through numerical data. As a result, the inability to capture these variables is a limitation of this study.

5.5 Recommendations for Future Research

Future research should take into account mixed-methods approaches that combine quantitative data with qualitative data such as interviews or surveys that allow participants to express their feelings and provide deeper insights. Future studies should consider mixed-methods approaches to enable them to gain a comprehensive understanding. Mixed approaches involve the use of quantitative and qualitative methods to obtain data. the primary goal of combining qualitative and quantitative approaches is to gain a deeper understanding of the study. It provides a clear picture to researchers hence enhancing description, as well as understanding of the study. Combining the two approaches is significant as it provides stronger inference compared to using either of them separately. For example, it was difficult to establish the emotions of the people using numerical data. Therefore, involving a qualitative approach will enable future studies to capture unobservable traits that cannot be captured using quantitative analysis. With mixed methods, the survey questionnaire will contain limited questions allowing qualitative methods to capture others.

This will enhance the reliability of the study. Future studies must consider this method to boost the reliability of their research following the limitations stated above.

Also, future studies should incorporate qualitative pre-studies to help inform the development of quantitative instruments. Integrating qualitative pre-studies will help in ensuring that the quantitative measures considered are culturally sensitive, as well as contextually relevant. With this combination, the evaluation is improved as it ensures that the weaknesses of one approach are balanced by the other. Integrating the two is enriching as it allows the researcher to obtain data that could be obtained using the approaches separately. The use of a mixed approach will make it easier to generate hypotheses. For example, future researchers can use the method to generate hypotheses from qualitative analysis which will later be tested using a quantitative approach. Also, future researchers may rely on a qualitative approach to explain unanticipated results obtained from the quantitative approach. This may apply in either direction; the researchers may use quantitative data to explain qualitative data. Integrating these approaches is significant for obtaining reliable data. The need to integrate these approaches in future studies should be emphasized due to their reliability. Applying them separately leads to incomplete data thus affecting the reliability and validity of the study. Each has its weaknesses and strengths. However, integrating the two helps in balancing these weaknesses and strengths.

Future studies might strive to incorporate a bigger and more representative sample from various banks to increase statistical power and dependability of results. Larger samples are great in increasing the statistical power of the study. On the other statistical data involves the ability to detect the existence of a true effect. Ideally with a large sample, it becomes easier for the researchers to establish correlations or differences when they exist in the population. Future studies should focus on larger samples to generate accurate data. This will help in determining the

existence of variability. At the same time, this will provide a more representative cross-section of the population hence increasing the external validity of the study. As a result, this will enable the researchers to generalise their findings based on the broader population. Also, considering a larger sample will influence the reliability of the study results. It is stated that results obtained from larger samples are unlikely to be impacted by random variability. As a result, this will establish a more stable foundation which in turn will make it easier to draw conclusions.

Future studies should employ advanced statistical techniques. Advanced statistical techniques are significant in analyzing complex relationships, as well as interactions between data. Considering advanced statistical analysis will enable future researchers to move beyond subjective observations and precisely explain trend patterns, and volatility along correlations across different markets. Also, utilizing advanced statistical techniques will help future researchers to assess hypothesized cause-and-effect relationships. While regression and correlation analysis have been used in the study, future researchers should consider more advanced techniques to establish how one factor predicts or drives another. An example of advanced statistical techniques that should be employed in future studies include structural equation modelling. This will help in providing more understanding of the data obtained. Structural equation modelling is an integration of factor analysis and multiple regression analysis. Researchers use this method to analyze the structural relationship between latent constructs and measured variables. The method should be considered as it tends to estimate the multiple and interrelated dependence in a single analysis. The analysis involves two types of variables namely dependent and independent variables. Future research should consider due to its flexibility and ability to analyze complex relationships. Also, the advantage of this technique is that it performs well in large samples. In order to obtain more

nuanced and qualitative data alongside numerical data, future studies can employ surveys with well-structured open-ended questions.

On the other hand, future studies should focus on the influence of cultural factors on customer loyalty in the retail banking sector specifically in Sabah, Malaysia. The region is rich in culture thus the need to focus on this area. Culture has a great impact on human behaviour. Understanding the influence of culture on one's loyalty to a given bank is significant in this study. While studying cultural influences, future researchers must focus on the determinants of loyalty among different ethnic groups in Sabah, Malaysia. Later, the researchers should assess the effect of cultural diversity on customer perception toward the retail banking sector. Customer loyalty can be influenced by cultural aspects. There is a need to focus on cultural influences because the region is culturally diverse. Participants must come from diverse ethnic groups. Lack of diversity may result in a serious ethical concern. Future studies must consider this as a major factor when engaging in research. Other than enrolling an adequate number of participants in the research study, ethnic diversity is a significant factor. Involving participants from different ethnic backgrounds will demonstrate the researchers' commitment to understanding the behaviour of the entire population. Cultural diversity may have a direct impact on customer loyalty towards the retail banking sector. People's perceptions towards an institution can be influenced by their cultural nuances or individual experiences. Involving participants from diverse cultural backgrounds in the study will help in obtaining the right data.

5.6 Conclusion

The study concludes that customer satisfaction, trust, security, and the quality of service are crucial factors in determining client loyalty to financial institutions. Satisfied customers are loyal to their respective organizations. When customers' needs are met, they develop loyalty

toward the organization. This motivates repeat business and are likely to recommend other people. Financial institutions must strive to improve customer satisfaction to retain and attract new clients. Besides, it is stated that positive experiences play a significant role in creating value and trust. Therefore, to continue the bank's relationship with its clients, it must strive to improve customer experience. When customers are contented with the services offered in the institution, they are likely to stay loyal regardless of the competition in the industry. They will also recommend others to the institution hence boosting the reputation of the bank.

Trust is viewed as the foundation of every relationship, especially in terms of financial matters. As stated earlier, for clients to invest or transact with a given institution, they must first trust the bank. They must trust the bank to safeguard their financial data and to handle their finances accordingly. Without trust, a banking institution cannot sustain a long-lasting relationship with its clients. It may take long for the institution to establish trust with its clients; however, its impacts are massive. Trust is critical in fostering loyalty. Financial institutions should realize that transparency, honesty, consistency, as well as reliability are significant in establishing and maintaining trust.

Security is a major concern in the finance industry. Banks deal with sensitive information. Clients expect their preferred banks to implement strict security measures. Banking systems have been attacked many times by fraudsters. Cyberattacks are very common in financial institutions. Identity theft is among the issues experienced by the banks and their clients. Establishing strong measures to protect customer data is significantly important. Efficient cybersecurity measures will protect customer data which in turn will boost the reputation of the institutions. The bank is required to invest in robust security measures to prevent intruders from accessing customer data.

Excellent service is also important for the business to remain relevant in the competitive landscape. As the finance industry becomes more competitive, the quality of service is the key differentiator. Excellent service is critical in setting the institution apart from the competition. The banks need to realize that understanding and meeting the unique needs of individual clients is key to boosting customer experience. Personalization is significant in boosting customer loyalty and trust. loyalty towards a given financial institution can be achieved through customer satisfaction, trust, security, and quality of service.

According to the results, these aspects account for a sizeable portion of client loyalty. If banks want to keep their current clients and get new ones, they must emphasize increasing customer satisfaction, building trust, providing better services, and boosting security. This study not only adds to the theoretical understanding of consumer loyalty, but it also suggests concrete ways in which financial institutions can improve their client relationships and acquire a competitive edge.

Questionnaire

Section 1: Demographic Information

1. Age:

- 18-24
- 25-34
- 35-44
- 45-54
- 55 and above

2. Gender:

- Male
- Female
- Other

3. Education:

- High School or below
- Diploma
- Bachelor's Degree
- Postgraduate Degree

4. Income Level:

- Below RM 30,000

- RM 30,000 - RM 60,000
- RM 60,001 - RM 100,000
- Above RM 100,000

Section 2: Customer Satisfaction

Please indicate your level of agreement with the following statements:

<i>Statement</i>	<i>1</i>	<i>2</i>	<i>3</i>	<i>4</i>	<i>5</i>
Overall, I had a good banking experience with my bank.					
I am pleased with the bank's customer service's quickness.					
My financial demands are efficiently met by the bank.					
The variety of banking services and products offered meets my needs.					
My struggles and challenges with the bank are satisfactorily resolved.					

Section 3: Service Quality

Please indicate your level of agreement with the following statements:

<i>Statement</i>	<i>1</i>	<i>2</i>	<i>3</i>	<i>4</i>	<i>5</i>
The staff at the bank is pleasant and accommodating.					
Both the bank's mobile app and website are easy to use.					
The bank offers quick and effective services.					
I can easily access the bank's ATMs and branch locations.					
The bank provides fees and interest rates that are competitive.					

Section 4: Trust

Please indicate your level of agreement with the following statements:

<i>Statement</i>	<i>1</i>	<i>2</i>	<i>3</i>	<i>4</i>	<i>5</i>
I have trust in my bank to keep my financial and personal information secure.					
I think my bank does business in an ethical and open manner.					
I am confident in the monetary stability of my bank.					
I rely on the suggestions and counsel offered by my bank.					

My bank routinely carries out its obligations and promises.					
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Section 5: Security

Please indicate your level of agreement with the following statements:

<i>Statement</i>	<i>1</i>	<i>2</i>	<i>3</i>	<i>4</i>	<i>5</i>
I believe my bank uses sufficient security precautions to safeguard my accounts.					
Clear information on security and preventing fraud is provided by my bank.					
I have confidence that my bank's internet transactions are secure.					
Any unusual activity on my account is swiftly reported to me by my bank.					
I think my bank has effective cybersecurity procedures.					

Section 6: Customer Loyalty among Bank Customers

Please indicate your level of agreement with the following statements:

<i>Statement</i>	<i>1</i>	<i>2</i>	<i>3</i>	<i>4</i>	<i>5</i>
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I'll probably keep utilizing my present bank's services in the future.					
I tell family and friends about my bank.					
I'm willing to use new services that my bank is offering or create more accounts.					
I have reluctance about switching banks.					
My bank inspires a strong sense of loyalty and commitment in me.					

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